

Company Information

BOARD OF DIRECTORS:

DHARAPRASAD PODDAR
Chairman

ARVIND PODDAR
Vice Chairman & Managing Director

ANURAG PODDAR
Executive Director (w.e.f 22nd January, 2009)

RAJIV PODDAR
Executive Director (w.e.f 22nd January, 2009)

SACHIN NATH CHATURVEDI
KHURSHED DOONGAJI
RAMESHKUMAR PODDAR
ASHOK SARAF
RAKESH GARODIA
SUBHASH CHAND MANTRI
LAXMIDAS MERCHANT (w.e.f 22nd January, 2009)

BASANTKUMAR BANSAL
Whole Time Director (w.e.f 26th July, 2008)

MANAGEMENT COMMITTEE

DILIP VAIDYA – Director (Technical)
BASANTKUMAR BANSAL
ANURAG PODDAR
RAJIV PODDAR

REGISTERED OFFICE:

H-3/1 MIDC "A" Road,
Tarapur (Boisar) 401 506
Dist. Thane (Maharashtra)

PLANTS :**TYRE MANUFACTURING :****WIND FARM :****MOULD UNIT :**

Members are requested to bring their copy of the Annual Report along with them at the Annual General Meeting, as copies of the Report will not be distributed at the Meeting.

COMPANY SECRETARY:

VIPUL R SHAH

BANKERS:

ABN AMRO BANK
BANK OF BARODA
BARCLAYS BANK PLC
CORPORATION BANK
ING VYSYA BANK
STATE BANK OF INDIA
STANDARD CHARTERED BANK

AUDITORS:

M/s. JAYANTILAL THAKKAR & CO.
Chartered Accountants

INTERNAL AUDITORS:

M/s. DILIP A. JAIN & ASSOCIATES
Chartered Accountants

CORPORATE OFFICE:

418, Creative Industrial Estate,
72, N M Joshi Marg,
Mumbai 400 011

B-66, Waluj MIDC, Waluj Indl. Area,
Aurangabad 431 136 (Maharashtra)

SP-823, RIICO Phase-III,
P.O. Bhiwadi 301 019 Dist. Alwar
(Rajasthan)

RIICO, Phase VIII,
Chopanki P.O. Bhiwadi 301 707
Dist. Alwar. (Rajasthan)

Village Soda Mada, Tehsil: Fatehgarh,
Dist. Jaisalmer (Rajasthan)

Plot No. TS-1, M.I.D.C, Phase No.II,
Dombivali (E) 421 201, Dist. Thane
(Maharashtra)

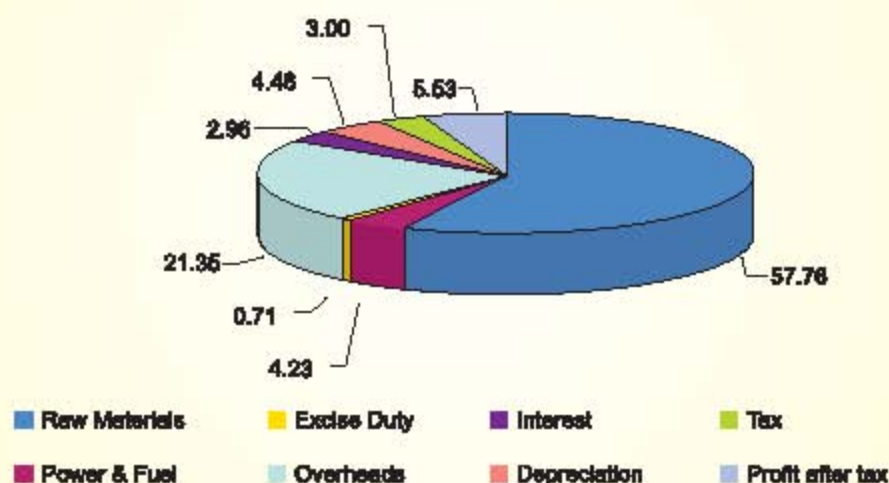
Financial Highlights

(Rs. In Crores)

Year ended 31st March	Stand alone		Consolidated			
	2008	2008	2009	2008	2007	2006
Sales & Related Income	1261	1004	1417	1159	900	633
Less: Excise Duty Recovered on Sales	9	12	17	25	22	13
Net Sales & Income from Operations	1252	991	1400	1134	878	620
Other Income	5	15	8	16	9	8
Total Income	1257	1006	1408	1150	887	628
PBDT	202	232	212	242	187	148
PBDT	165	205	174	215	170	134
Depreciation	57	44	59	46	36	27
Exceptional Item	-	(3)	-	(4)	-	-
PBT	108	164	115	173	134	107
Taxes	38	57	41	60	48	37
PAT	70	107	74	113	88	70
Dividend	60%	105%	60%	105%	105%	* 100%
Earning per Share of Rs. 10 each	36.49	55.17	38.62	58.36	42.99	* 36.95
Total Cash Accruals *	113	127	119	135	102	78

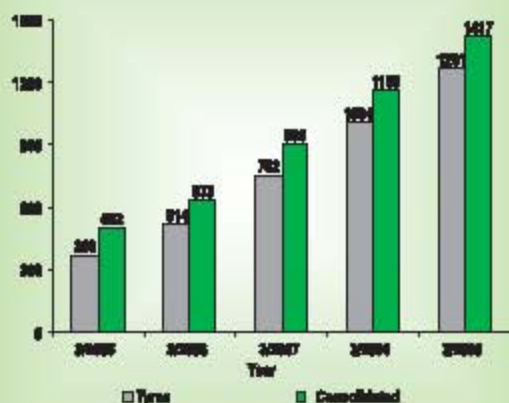
* The Company has allotted Bonus Shares in the ratio of one Share for every two shares held during 2005-06.

RUPEES EARNED / SPENT (%)

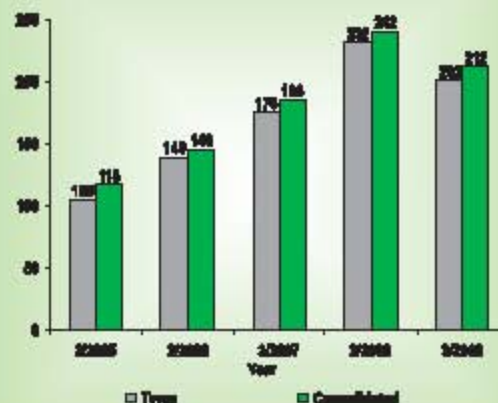


Financial Highlights

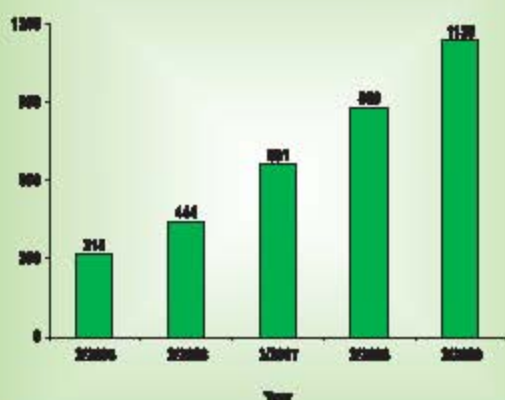
SALES & RELATED INCOME (Rs. In Crores)



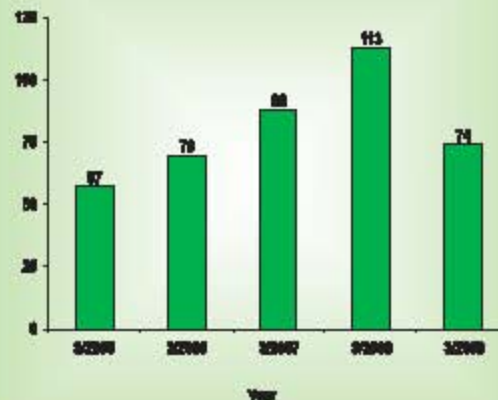
EBIDTA (Rs. In Crores)



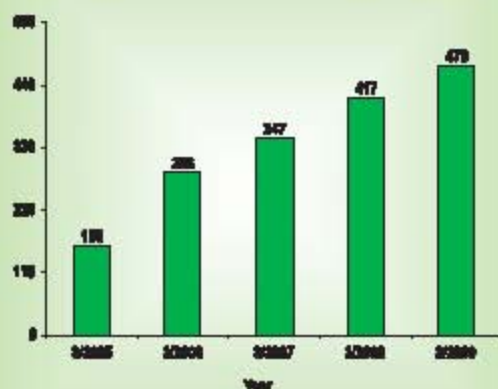
STAND ALONE EXPORT SALES (Rs. In Crores)



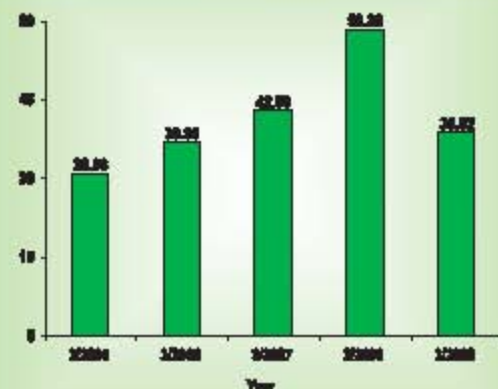
CONSOLIDATED PAT (Rs. In Crores)



CONSOLIDATED NET WORTH (Rs. In Crores)



CONSOLIDATED EARNING PER SHARE (Rs. In Crores)



Directors' Report

DIRECTORS' REPORT & MANAGEMENT DISCUSSION AND ANALYSIS

Dear Shareholders,

Your Directors are pleased to present the 47th Annual Report and Audited Statement of Accounts for the year ended 31st March 2009.

FINANCIAL RESULTS:

	(Rs. in crores)	
	Current Year ended 31.03.2009	Previous Year ended 31.03.08
Gross Turnover and Other Income	1266.01	1018.35
Less: Excise Duty Recovered on Sales	8.98	12.43
Net Turnover and Other Income	1257.03	1005.92
Gross Profit	164.40	204.95
Less: Depreciation and Amortisation	56.52	43.83
Add : Exceptional Item	NIL	2.80
Profit before Tax	107.88	163.92
Less: Provision for Taxation		
Current Tax	27.40	49.30
Deferred Tax (Net)	9.44	7.24
Fringe Benefit Tax	1.10	0.55
	37.94	57.09
Profit after Tax	69.94	106.83
Add/(Less): Adjustments relating to earlier years	0.60	(0.17)
Less : Extra ordinary Item	0.25	1.09
Profit after Extra ordinary Item	70.29	105.57
Balance brought forward from last year	58.59	26.77
PROFIT AVAILABLE FOR APPROPRIATIONS:	128.88	132.34
APPROPRIATIONS:		
Transfer to General Reserve	49.46	50.00
Interim Dividend	NIL	8.70
Proposed Final Dividend	11.60	11.60
Tax on Dividends	1.97	3.45
	63.03	73.75
Balance Carried Forward to Balance Sheet	65.85	58.59

OPERATIONS:

Your Company operates mainly in one segment i.e. pneumatic tyres with focus on manufacture of wide range of "Off Highway Tyres" that includes Agricultural, Forestry, Industrial, Material Handling, Lawn & Garden, ATV, Construction and Earth Moving (OTR) equipment Tyres.

The year under consideration has been a year of volatility wherein we have seen wild fluctuation in different aspects of business environment be it raw material prices, interest rate, exchange rate, etc. During this period, we have witnessed different phases of economy viz. boom time, slow down, recession. Your company is mainly into

exports – more than 90% of its production is exported and therefore vulnerable to global economic conditions. In spite of odd business circumstances during the year under review, your company has been able to register a growth of 26% over last year. During this period, sales and related income of the company was higher at Rs.1,261 Crores as against Rs. 1,004 Crores in the previous year. The Exports and Export related income stood at Rs. 1,139 Crores as against Rs. 880 Crores in the previous year – an increase of over 29%. Due to wild fluctuation in the raw material prices, fuel prices exchange rate, the gross margins of the company have come under pressure and has dropped from Rs.205 Crores to Rs.165 Crores.

Directors' Report

Your company continues to enjoy the status of **“THREE STAR EXPORT HOUSE”**.

DIVIDEND:

Your Directors are pleased to recommend a Dividend of Rs.6 per share (60%) for the year, with a total payout of Rs. 13.57 Crores, including Tax on Dividend.

CAPITAL EXPENDITURE:

The commissioning of OTR radial plant was completed during the year. The company has, for time being, deferred its plan to setup new green field tyre plant into special economic zone (SEZ) in view of current recessionary market conditions across the globe. However, the company will explore its existing locations to increase its production capacity wherever required.

CAUTIONARY STATEMENTS:

Certain statements in the “Management Discussion and Analysis” describing the Company’s views about the Industry, expectations/predictions, objectives etc., may be forward looking within the meaning of applicable laws and regulations. Actual results may differ materially from those expressed in the Statement. Company’s operations may inter-alia affect with the supply and demand stipulations, input prices and their availability, changes in Government regulations, taxes, exchange fluctuations and other factors such as Industrial relations and economic developments etc. Investors should bear the above in mind.

OUTLOOK FOR THE CURRENT YEAR 2009-10:

The impact of global economic melt down, which started in the second half of financial year 08 – 09, has been so vast that its recovery may take very long time. This economic melt down has caused recession across different industries and your industry is not an exception to it. However, since your company is operating into a niche segment of the industry, it should be able to maintain its growth record in the current financial year.

Prices of key raw materials like natural rubber, synthetic rubber and carbon black are area of concern for the company as there is a wild fluctuation in its prices. It may impact the margins of the company adversely.

OPPORTUNITY & THREATS:

OPPORTUNITIES:

The segment, in which your company operates, is predominantly represented by large varieties and low volumes, making it un-attractive for fresh investments by major players. Your Company is fully geared up to take advantage of the peculiarities of the said segment and has developed more than 1900 SKUs to meet the diverse needs and applications.

Moreover, the segment is not exposed to any technological obsolescence and wild fluctuations in demand of its products.

The Company has incremental opportunity to incubate the “Earth Moving Tyres” (OTR) markets and take advantage of radialization, which is picking up the momentum rapidly. In this pursuit, the company has set up all steel OTR Radial Tyre plant at its Chopanki location and thereby has become the first company in India to set up such plant. Your company has also increased its Agri radial tyre production capacity significantly over past few years to meet its rapidly increasing demand.

THREATS:

Like any other Company, your Company is also exposed to various threats like competition from small players, retention of employees, labour un-rest, increase in raw material prices and other input cost etc.

RISKS / CONCERNS AND RISK MITIGATION:

Fluctuation in Raw Material prices: The Company’s major raw material is Natural Rubber, which is an agricultural commodity and its prices had moved upward very significantly in this year. Besides this, the prices of other raw materials had also moved up sharply and had witnessed a level never seen in the past due to unprecedented increase in the crude oil prices.

Though the Company enjoys the pricing power, it is not possible to pass on the increase in prices immediately and that too fully. Thus, the Company has to bear the brunt of the said fluctuations to some extent. The increase in utility cost and other administrative cost may also marginally affect the profitability of the company adversely.

In order to minimize such risks, the Company not only enters into medium-term contracts but also adopts the policy of “Buy and Stock” large quantities during the lean period.

Labour Relations: Since the nature of Company’s manufacturing process is that of batch processing, it requires lot of skilled as well as un-skilled workers. Maintaining a huge work force always poses a risk.

In order to mitigate the said risk, the Company follows good HR practices and spends a lot of money and Management’s time for their welfare, safety and up-liftment. All workers are paid more than adequate remuneration for their work.

Retention of skilled Manpower: This is not a unique area of concern for the Company as all the Companies are facing it.

The Company is able to manage the said risk by good HR practices and rewarding its employees handsomely.

Directors' Report

Currency fluctuation: since approximately 90% of the Company's revenues are generated through exports and the Company also imports lot of its raw materials and capital equipments; it is exposed to risks due to currency fluctuations.

The Company follows the system of hedging its receivables and major payments well in advance by entering into Forward Contracts, thereby protects itself largely from fluctuations in currencies.

INTERNAL CONTROL SYSTEM AND THEIR ADEQUACY:

The Company has adequate system of internal controls to ensure that all the assets are safeguarded and are productive. Necessary checks and balances are in place to ensure that transactions are adequately authorised and reported correctly. The Internal Auditors of the Company conduct Audits of various departments to ensure that internal controls are in place. The Audit Committee of the Board is reviewing these and the Company, when needed, takes corrective actions.

HUMAN RESOURCES:

The Company's human resources continue to be the biggest asset of the Company. The team has remained as committed as ever and produced results that are considered significant. Quality, quick delivery and focus on resolving customer issues are the hallmark of the team performance. There is a strong focus on TEAM spirit. During the year, many events were conducted to develop the personality and outlook of its employees. Employee's relations continue to be cordial.

SUBSIDIARY COMPANIES:

The company has following subsidiary companies:

1. Balkrishna Paper Mills Limited (100%)
2. Balkrishna Synthetics Limited (100%)
3. BKT EXIM Limited (100%)
4. Balkrishna Tyres Limited (80%)

The Statement pursuant to Section 212 of the Companies Act, 1956 containing details of the Company's Subsidiaries, to the extent applicable, is attached.

Further pursuant to Accounting Standard AS-21 issued by the Institute of Chartered Accountants of India, consolidated Financial Statements of the Company and its Subsidiaries form part of the Annual Report and Accounts.

The Company has made application under section 212(8) of the Companies Act, 1956 to the Department of Company Affairs, Ministry of Finance seeking their exemption from attaching the Balance Sheet, Profit and Loss Account, and Report of the Board of Directors and Auditors of its Subsidiary Companies with the Balance

Sheet of the parent Company. The Company has received approval from Department of Company Affairs vide its letter No.47/172/2009-CL-III dt.24.04.2009. However, these documents will be submitted to any shareholder wishing to have a copy on receipt of such request. These documents will also be available for inspection by any shareholder at the Head Office of the Company. However as directed by the Central Government, the financial data of the Subsidiaries Companies have been furnished under 'Details of Subsidiaries' forming part of the Annual Report.

DIRECTORS:

Shri Basantkumar G. Bansal has been inducted as an Additional Director and Whole Time Director of the Company, designated as Director (Finance) w.e.f. 26th July, 2008, Shri Anurag P. Poddar and Shri Rajiv A. Poddar have been inducted as an additional Directors and Whole Time Directors designated as Executive Directors, w.e.f. 22nd January, 2009, and Shri Laxmidas V. Merchant have been inducted as an additional Director w.e.f 22nd January, 2009. All the aforesaid Directors hold office till the date of the ensuing Annual General Meeting.

The Company has received notice from one of the Shareholder proposing the name of Shri Basantkumar G. Bansal, Shri Anurag P. Poddar, Shri Rajiv A. Poddar and Shri Lamxidas V. Merchant, as the Directors of the Company.

Shri Dharaprasad R. Poddar, Shri Rameshkuamr D. Poddar and Shri Subhash Chand B. Mantri retire by rotation and being eligible, offer themselves for re-appointment.

Necessary resolutions for their re-appointment are placed before the Shareholders. Your Directors commend the resolutions.

CORPORATE GOVERNANCE:

Pursuant to Clause 49 of the Listing Agreement with the Stock Exchanges, Management Discussion and Analysis, Corporate Governance Report and Auditor's Certificate regarding Compliance of the same are made a part of this Annual Report.

FIXED DEPOSITS:

There are no deposits as on 31st March 2009.

INDUSTRIAL RELATIONS:

The industrial relations with staff and workers during the year under review continue to be cordial.

PARTICULARS OF EMPLOYEES:

Particulars of remuneration paid to the employees as required under Section 217 (2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975, are given in the Annexure-I attached hereto and form part of the Report.

Directors' Report

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNING AND OUTGO:

Information pursuant to Section 217 (1) (e) of the Companies Act, 1956, read with the Companies (Disclosure of particulars in the Report of Board of Directors) Rules, 1988, is given in the Annexure-II to the report.

RESPONSIBILITY STATEMENT:

Pursuant to the requirement under Section 217 (2AA) of the Companies Act, 1956, with respect to Directors' Responsibility Statement, it is hereby confirmed that:

- (i) In the preparation of the accounts for the financial year ended 31st March, 2009, the applicable accounting standards have been followed along with proper explanation relating to material departures;
- (ii) The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that were reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the Profit of the Company for the year under review;
- (iii) The Directors have taken proper and sufficient care for maintenance of adequate accounting records in accordance with provisions of the Companies Act, 1956, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

- (iv) The Directors have prepared the accounts for the financial year ended 31st March, 2009 on a "going concern" basis.

AUDITORS:

The members are requested to appoint Auditors and fix their remuneration. Messers Jayantilal Thakkar & Co., Chartered Accountants, the retiring Auditors and who have furnished certificates of their eligibility for re-appointment as required under Companies Act, 1956.

APPRECIATION:

Your Company is grateful for the continued co-operation and assistance extended to it by the Financial Institutions and Banks in meeting the financial requirements of the Company.

Your Directors also wish to place on record their warm appreciation for the services rendered by the employees and Dealers/Distributors/Agents of the Company.

For and on behalf of the Board of Directors

DHARAPRASAD PODDAR
Chairman

Mumbai,
Dated: 16th May, 2009

Annexure to Directors' Report

ANNEXURE - I

Statement containing information as per Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended 31st March, 2009.

Sr. No.	Name	Age	Designation & Nature of Duties	Gross Remuneration (Rs.)	Net Remuneration (Rs.)	Qualification & Experience (Years)	Date of Commencement of Employment	Last Employment held, Designation & Period
A. Employed throughout the financial year and were in receipt of remuneration in the aggregate of not less than Rs. 24,00,000/-								
1	Mr. Arvind M. Poddar	51	Managing Director	1,24,45,000	94,90,252	B.Com (31)	01.08.2006	Siyaram Silk Mills Ltd. Joint Managing Director (14 years)
2	Mr. Dilip M. Vaidya	56	President (Technology) & Director	49,02,576	26,08,781	B.Sc., Tech (Polymer Tech) (33)	05.07.1993	Bombay Tyres International Ltd., Asst. Divisional Manager (11 years)
3	Mr. Basant G. Bansal	43	Director (Finance)	37,73,908	19,95,899	B.Com, ACA (21)	10.08.2004	Rama Group of Co. Chief Financial Officer (4 years)
4	Mr. Madhusudan B. Bajaj	51	Sr. Vice President (Commercial)	29,70,756	16,52,524	B.Com, FCA (26)	01.07.2002	Hindustan Vidyut Products Ltd. Assistant VP (19 years)
5	Mr. Anant V. Pandit	59	Sr. Vice President (Technology)	28,82,556	16,11,836	B.Sc., B. Tech. LPR (36)	20.02.2003	Ceat Ltd. Senior Manager (27 years)
6	Mr. Kallol Sinha Ray	53	Sr. Vice President (Operations) & Unit Head	32,46,036	17,43,723	B. Sc, B. Tech. (28)	22.05.2006	JK Industries Ltd. General Manager (4 years)
B. Employed for a part of the Financial year and were in receipt of remuneration for any part of the year at the rate which (in aggregate) was not less than Rs. 2,00,000/- per month.								
1	Mr. Trilok Chand D. Goel	59	Sr. President cum Director	21,51,020	9,54,706	B. Tech. (Ele) (37)	04.07.2005	Falcon Tyres Ltd. Executive Director (6 years)
2	Late Mr. S R Barasia	57	Head Diversification (Projects)	7,22,583	2,59,325	B.Com, FCA (32)	01.12.2008	Subhkam Ventures India Ltd. President (2 years)
3	Mr. Narendra Kumar	45	Vice President (Operations)	20,07,827	11,16,637	B. Tech (Mech.) (22)	23.06.2008	Parryware Roca Pvt. Ltd. General Manager (2 years)
4	Mr. Anurag P. Poddar	27	Executive Director	21,04,102	19,58,419	MBA (Finance) (2)	01.08.2006	-
5	Mr. Rajiv A. Poddar	24	Executive Director	21,04,102	19,58,419	B. A., Business Management (2)	01.05.2006	-

Notes:

- Appointment of Managing Director, Executive Directors, Director (Finance) and Sr. President Cum Director are for a period of five years. All other appointments are non-contractual and terminable by notice on either side.
- Gross Remuneration includes Salary, Commission, Leave Travel Allowance/Reimbursement, Medical Allowance/Reimbursement, House Rent Allowance and Contribution to Provident Fund, Superannuation Fund, Gratuity Fund, Gratuity/Provision for Gratuity, Personal Accident Insurance, Incentive and Bonus/Exgratia, etc., wherever applicable.
- Shri Arvind M. Poddar and Shri Rajiv A. Poddar are related to each other being father and son. Shri Anurag P. Poddar is grandson of Shri Dharaprasad R. Poddar, the Chairman.

For and on behalf of the Board of Directors

Mumbai,
Dated: 16th May, 2009

DHAPRAPRASAD PODDAR
Chairman

Annexure to Directors' Report

ANNEXURE – II

Information as per Section 217(1)(e) read with Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988 and forming part of the Directors' Report for the year ended 31st March, 2009.

A. CONSERVATION OF ENERGY:

(a) Energy Conservation measures taken by the Company;

(i) Electrical Energy:

Energy Audit by outside Consultants has been carried out in the earlier years at the various Plants of the Company and also in-house audits/surveys are conducted periodically. Necessary follow-up actions are being continuously carried out.

Besides, regular monitoring of the overall energy consumption is also carried out periodically during the year, and losses, if any, are identified and suitable improvements carried out.

(ii) Coal/Fuel Oil Consumption:

The Company is carrying out regular maintenance of steam lines/steam traps and user equipments to ensure high efficiency levels throughout the year, and new improvements are reviewed regularly and implemented wherever found suitable.

(b) Additional investments and proposals, if any, being implemented for reduction of Consumption of energy;

The Company is reviewing various proposals for reduction in consumption of energy, mainly by way of replacement of existing equipments by modern and energy efficient equipments.

(c) Impact of the measures at (a) and (b) above for reduction of energy consumption and consequent impact on the cost of production of goods;

The various energy conservation measures detailed above adopted by the Company have resulted in savings in energy consumption as per information given in Form 'A'.

(d) Total energy consumption and energy consumption per unit of production as per Form 'A' hereunder.

FORM 'A'

I. Power and Fuel Consumption:		Current Year	Previous Year
1	Electricity		
(a)	Purchased		
	Units (KWH)	5,27,15,815	4,36,69,768
	Total amount (Rs. in lacs)	2,286.85	1,911.24
	Rate/Unit (Rs.)	4.34	4.38
(b)	Own generation		
(i)	Through Diesel Generating Sets		
	Units (KWH)	2,45,27,093	2,75,30,297
	Units per liter of H.S.D/L.D.O./Furnace Oil	4.10	4.09
	Cost/Unit (Rs.)	6.14	4.92
(ii)	Through Wind Mill (For Captive Consumption)		
	Units (KWH)	76,24,327	69,12,231
2	Pet Coke (specify quality and where used)		
	The Company also uses Pet-Coke grade B/C in its Boilers		
	Quantity (Tons)	25,011	26,417
	Total Amount (Rs. in lacs)	1,811.41	1,522.91
	Average rate (Rs./Ton)	7,243	5,765
3	H.S.D/L.D.O./Furnace Oil		
	Quantity (K.Ltrs)	5,979	6,728
	Total Amount (Rs. in lacs)	1,506.74	1,354.47
	Average rate (Rs./KL)(Net of Modvat, Wherever applicable)	25,201	20,130

Annexure to Directors' Report

II. Consumption per unit of production*:

	Electricity(KWH)	Pet Coke(Kgs)	Furnace Oil (Ltr)
Automobile Tyres (MT)	964 (970)	312 (360)	75 (92)

Note: The Company manufactures a wide range of products and the consumption of energy will vary significantly depending upon the actual product-mix for the period.

Figures in brackets are of previous year.

B. TECHNOLOGY ABSORPTION:

Efforts made in technology absorption as per Form 'B':

FORM 'B'

I. Research and development (R&D):

- Specific areas in which R&D carried out by the Company:
Product and quality improvement, development of new designs/products, cost control and energy conservation.
- Benefits derived as a result of the above R&D:
The R&D activities have resulted in conserving of scarce raw materials, higher productivity and containing the costs all around.
- Future plan of action:
Water and energy conservation, development of new designs of tyres, further improvement in process technology and product mix.
- Expenditure on R&D (Rs. in lacs):

(a) Capital	: NIL
(b) Recurring	: 71.71
(c) Total	: 71.71

II. Technology absorption, adaptation and innovation:

- Efforts, in brief, made towards technology absorption, adaptation and innovation:
The Company has been developing in-house modification/improvements in Process Technology in its various manufacturing sections-which, when found suitable, are integrated into the regular manufacturing operation.
- Benefits – which, when found suitable, are integrated into the regular manufacturing operation:
 - Quality improvement.
 - Energy conservation.
- In case of imported technology (imported during the last 5 years reckoned from the beginning of the financial year), following information may be furnished:

N.A.

C. Foreign exchange earning and outgo:

- Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services and export plans;
The export of Tyres, Tubes and Flaps during the year amounted to Rs.1,139 Crores as against Rs.880 Crores during the previous year. The products of the Company are well established in the international market and the Company expects to further improve its performance in the export segment.
- Total foreign exchange used and earned (Rs. in Crores)
Used : 526 Earned : 1,140

For and on behalf of the Board of Directors

Mumbai,
Dated : 16th May, 2009

DHARAPRASAD PODDAR
Chairman

Corporate Governance Report



(As required under Clause 49 of the Listing Agreement entered into with Stock Exchanges)

Balkrishna Industries Limited believes that good Corporate Governance is essential to achieve long-term corporate goals and to enhance stakeholders' value. Models of the Corporate Governance code are many and different environments will need specific solutions to meet the demands of legal compliances and regulations. However, there is a universal principle, which percolates through the elements of governance, which calls for the affairs of the Company to be regulated in a manner that is transparent, ethical and accountable. In this pursuit, your Company is committed to transparency in all its dealing with its shareholders and others and to provide high quality products and services to its customers and places uncompromising emphasis on integrity and regulatory compliances. The basic philosophy of your Company has been to achieve business excellence, to enhance shareholders value, keeping in view the needs and the interest of the shareholders.

BOARD OF DIRECTORS

The Company at the end of the year on 31st March 2009 has twelve Directors comprising of; Non-Executive & Non-Independent Directors, Non- Executive & Independent Directors and Whole Time Directors (Managing Director, Executive Directors and Director-Finance).

The Company is fully compliant with the Corporate Governance norms in terms of constitution of the Board. The Chairman of the Board is a Non-Executive Chairman and is a Promoter of the Company. The number of the Independent Directors is 50% of the total number of Directors and the number of the Non-Executive Directors is more than 50% of the total number of Directors.

The constitution of the Board during the course of the year ended 31st March 2009.

Name of the Directors	Category of Directors	Board meetings attended during the year	Whether attended last Annual General Meeting	Number of Directorships in other public companies		Number of Mandatory Committee positions held in other public companies	
				Chairman	Member	Chairman	Member
Shri Dharaprasad R. Poddar	Non-Executive & Non-Independent Director	5	No	1	2	-	-
Shri Arvind M. Poddar	Managing Director	5	Yes	5	5	-	1
Shri Ramesh D. Poddar	Non-Executive & Non-Independent Director	5	Yes	-	1	-	1
Shri Sachin Nath B. Chaturvedi	Non-Executive & Independent Director	5	Yes	-	4	-	2
Shri Khurshed M. Doongaji	Non-Executive & Independent Director	5	Yes	-	1	1	-
Shri Rakesh N. Garodia	Non-Executive & Independent Director	4	No	-	3	-	-
Shri Shubhash Chand B. Mantri	Non-Executive & Independent Director	5	Yes	-	1	-	-
Shri Ashok M. Saraf	Non-Executive & Independent Director	4	Yes	1	-	-	-
Shri Laxmidas V. Merchant (w.e.f. 22.01.2009)	Non-Executive & Independent Director	1	N.A.	2	1	2	-
Shri Anurag P. Poddar (w.e.f. 22.01.2009)	Executive Director	1	N.A.	-	6	-	-
Shri Rajiv A. Poddar (w.e.f. 22.01.2009)	Executive Director	1	N.A.	-	6	-	-
Shri BasantKumar G. Bansal (W.e.f. 26.07.2008)	Whole Time Director	3	Yes	-	-	-	-
Shri Trilok Chand D. Goel (Upto 25.07.2008)	Whole Time Director	1	N.A.	-	-	-	-

Corporate Governance Report

1. Shri Arvind M Poddar and Shri Rajiv A Poddar are relatives of each other.
2. Shri Dharaprasad R Poddar, Shri Rameshkumar D. Poddar and Shri Anurag P Poddar are relatives of each other.

Number of Board Meetings held and the dates on which held:

The Company held 5 Board Meetings during 2008-09 and the gap between two meetings did not exceed four months.

The meetings were held on 29th May, 2008, 14th June, 2008, 26th July, 2008, 18th October, 2008 and 22nd January, 2009.

The information as required under Annexure 1A to Clause 49 is being made available to the Board. These are submitted either as a part of the agenda papers well in advance of the Board meetings or are tabled in the course of the Board meetings.

Apart from payment of sitting fees, the Company did not have any material pecuniary relationship or transactions with Non-Executive Directors during the year.

Code of Conduct:

The Board of Directors has adopted the Code of Conduct for Directors and Senior Management Personnel. The said Code has been communicated to the Directors and the Members of the Senior Management. The Code has also been posted on the Company's website www.bkt-tires.com

Remuneration to Directors:

The Board of Directors on the recommendation of the Remuneration Committee fixes remuneration of Whole Time Directors and thereafter the same is approved by the shareholders at a General Meeting.

The Board of Directors takes all decisions regarding the remuneration of Non-executive Directors.

The details of the remuneration of Directors for the year are given below:

(Rupees)

Name of the Director	Salary	Benefits	Commission	Sitting Fees	Total	Service Contract
Shri Dharaprasad R. Poddar	NIL	NIL	NIL	60,000	60,000	**
Shri Arvind M. Poddar*	30,00,000	34,45,000	60,00,000	NIL	1,24,45,000	01.08.2006 to 31.07.2011
Shri Ramesh D. Poddar	NIL	NIL	NIL	60,000	60,000	**
Shri Sachin Nath B. Chaturvedi	NIL	NIL	NIL	1,00,000	1,00,000	**
Shri Khurshed M. Doongaji	NIL	NIL	NIL	50,000	50,000	**
Shri Rakesh N. Garodia	NIL	NIL	NIL	85,000	85,000	**
Shri Shubhash Chand B. Mantri	NIL	NIL	NIL	1,05,000	1,05,000	**
Shri Ashok M. Saraf	NIL	NIL	NIL	40,000	40,000	**
Shri Laxmidas V. Merchant	NIL	NIL	NIL	10,000	10,000	**
Shri Anurag P. Poddar*	4,64,516	7,10,554	9,29,032	NIL	21,04,102	22.01.2009 to 21.01.2014
Shri Rajiv A. Poddar*	4,64,516	7,10,554	9,29,032	NIL	21,04,102	22.01.2009 to 21.01.2014
Shri BasantKumar G. Bansal*	9,20,000	18,36,016	NIL	NIL	27,56,016	26.07.2008 to 31.07.2013
Shri Trilok Chand Goel	6,66,129	14,84,891	NIL	NIL	21,51,020	30.01.2007 to 25.07.2008

* Subject to approval of Shareholders of the Company

** Retire by rotation

Corporate Governance Report

The Company does not have Stock Option Scheme.

Notice Period

The Notice Period for the Whole Time Directors/Managing Director is three months from either side for terminating/resigning the services of the Company.

Severance Fees

No Severance Fees has been paid or payable by the Company.

Details of Shareholding of Directors as on 31st March, 2009:

Name of Director	No. of Shares held of Rs. 10 Each
Shri Dharaprasad R. Poddar	5,052
Shri Arvind M. Poddar	2,850
Shri Ramesh D. Poddar	10,000
Shri Anurag P. Poddar	30,766
Shri Rajiv A. Poddar	92,508

Audit Committee:

The Audit Committee comprises of three independent non-executive Directors viz. Shri Shubhash Chand B. Mantri (Chairman), Shri Sachin Nath B. Chaturvedi and Shri Rakesh N. Garodia.

All the members have financial and accounting knowledge and the Chairman, Shri Shubhash Chand B. Mantri, is a Chartered Accountant. The Company Secretary, Shri Vipul R. Shah, acts as the Secretary of the Committee.

The broad terms of reference of Audit Committee were: To review reports of the Internal Auditors and discuss the same with the Internal Auditors periodically, to meet the Statutory Auditors to discuss their findings, suggestions and other related matters, to review weaknesses, if any, in internal controls reported by the Internal and Statutory Auditors.

The scope of the activities of the Audit Committee includes the areas prescribed by Clause 49 II (D), (E) and has been granted powers as prescribed under Clause 49 II (C), of the Listing Agreement.

The Audit Committee met for Five times during the year on 29th May, 2008, 14th June, 2008, 26th July, 2008, 18th October, 2008 and 22nd January, 2009 where all the members of the committee were present except Shri Rakesh N. Garodia who was absent in the meeting held on 14th June, 2008.

The Chairman of the Audit committee was present at the last Annual General Meeting held on 23rd August, 2008.

Subsidiary Companies:

The Company does not have material non-listed Indian Subsidiary Company. The Audit Committee reviews the financial statements and investments made by unlisted Subsidiary Companies. The minutes of the Board Meeting as well as statements of all significant transactions and arrangements entered into of the unlisted subsidiary companies are placed regularly before the Board of Directors for their review.

Remuneration Committee:

The Remuneration committee comprises of Shri Shubhash Chand B. Mantri (Chairman) and Shri Rakesh N. Garodia.

The terms of reference of the Remuneration Committee, inter alia consists of reviewing remuneration policy and other employment terms of the Whole Time Directors.

The Remuneration Committee met for two times during the year on 26th July, 2008 and 22nd January, 2009 where both the members of the committee were present.

Remuneration Policy

Subject to the approval of the Board and of the Company in its General Meeting and such other approval as may be necessary, the Whole Time Directors are paid remuneration as per their terms of appointments. The remuneration structure comprises of salary, allowances, commissions, perquisites and employee benefits, if any.

Corporate Governance Report

Share Transfer and Shareholders'/ Investors' Grievance Committee:

The Share Transfer and Shareholders'/Investors' Grievance Committee comprises of Shri Dharaprasad R. Poddar (Chairman), Shri Arvind M. Poddar and Shri Ramesh D. Poddar. The Company Secretary, Shri Vipul R. Shah, has been designated as Compliance Officer.

During the year, the Company held four Shareholders'/Investors' Grievance Committee Meetings. The meetings were held on 26th May, 2008, 19th July, 2008, 14th October, 2008 and 09th January, 2009 where all the members of the Committee were present for the said meetings.

During the year ended 31st March 2009, one Shareholder Complaint/ query was received which was attended to and resolved satisfactorily during the year. There was no complaint pending as on 31st March, 2009.

As at 31st March 2009, there was no Share Transfer pending for Registration for more than 30 days.

General Body Meeting:

Details of the last three Annual General Meetings

Year	Location	Date	Time
2005-2006 44 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	16/09/2006	12.30 p.m.
2006-2007 45 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	11/08/2007	10.45 a.m.
2007-2008 46 th AGM	G-4/1 "MIDC" Tarapur(Boisar) (Maharashtra)	23/08/2008	12:30 p.m.

Special Resolution passed in the Previous 3 Annual General Meetings:

At the 44th Annual General Meeting, held on 16th September, 2006, four Special Resolutions were passed, one pertained to Remuneration payable to the Managing Director and other three related to appointment of relatives under Section 314 of the Companies Act, 1956.

At the 45th Annual General Meeting held on 11th August, 2007, one Special Resolution was passed pertaining to appointment of Shri Trilok Chand D. Goel as a Whole Time Director.

At the 46th Annual General Meeting held on 23rd August, 2008, one Special Resolution was passed pertaining to amendment/insertion of Articles in Articles of Association of the Company.

The Resolutions were put to vote by show of hands and were passed unanimously.

Postal ballots:

No Postal Ballot was conducted during the year.

Disclosure:

None of the transactions with any of the related parties were in conflict with the interest of the Company.

During the last three years, no penalties or strictures have been imposed on the Company by the Stock Exchanges or SEBI or any statutory authority on any matters related to capital markets.

The Company has complied with all the mandatory requirements of Clause 49 of the Listing Agreement relating to Corporate Governance. Further, the Company has adopted following non-mandatory requirements of the Clause.

A Certificate from CFO and CEO was placed before the Board.

The Company has set up the remuneration Committee as per the provision of Clause 49.

All the quarterly results were displayed on the Company's Web site www.bkt-tires.com

Means of Communication:

The Board of Directors of the Company approves and takes on record the un-audited financial results in the Proforma prescribed by the Stock Exchanges, within one month of close of quarter/half year and announces forthwith the results to all the Stock Exchanges where the shares of the Company are listed. Further, the results are published in newspapers (The Economic Times and Maharashtra Times), as prescribed. The results are also posted on Company's

Corporate Governance Report

Website www.bkt-tires.com. As the Company publishes the audited annual results within the stipulated period of three months as required by the listing agreement with the Stock Exchanges, the un-audited results for the last quarter of the financial year are not published.

Management Discussion and Analysis is a part of the Annual Report.

General Shareholder Information:

Annual General Meeting :	
Date	1 st August, 2009
Time	11.30 A.M.
Venue	Plot No.: G-4/1, MIDC, Tarapur, Boisar – 401506
Date of Book Closure	29 th July, 2009 to 31 st July, 2009 (both days inclusive)
Dividend Payment Date	On or after 1 st August, 2009

Financial Calendar for the year 2009-10:	
Financial Year	1 st April to 31 st March
First Quarterly Results	July, 2009
Half Yearly Results	October, 2009
Third Quarter Results	January, 2010
Results for year end	On or before June, 2010

Listing on Stock Exchange

The Company's Shares are listed on Bombay Stock Exchange Limited and on National Stock Exchange of India Limited.

Stock Code

Bombay Stock Exchange Limited
 Scrip Code No.: 502355(Demat)
 National Stock Exchange of India Limited
 NSE Code: BALKRISIND
 ISIN NO. : INE787D01018

Foreign Currency Convertible
 Bonds (FCCB) listed at

Singapore Exchange Limited
 2 Shenton Way, 19-00, SGX
 Centre 1,
 Singapore 068804

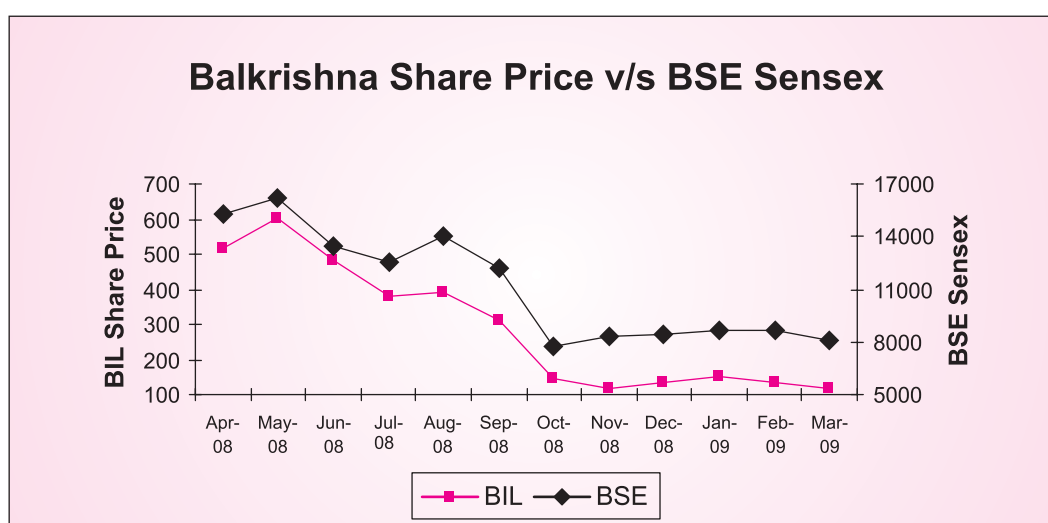
Shareholding Pattern as on 31st March 2009:

Particulars	No. of Shares	%
Promoters	1,05,10,102	54.37
Mutual Funds / UTI	24,00,311	12.41
Companies	4,33,665	2.24
Public	23,28,007	12.04
Non Resident	26,120	0.14
Foreign Institutional Investors	36,33,514	18.80
TOTAL	1,93,31,719	100.00

Corporate Governance Report

Market Price Data (Rs.):

Month	Bombay Stock Exchange Limited (BSE)		National Stock Exchange of India Limited (NSE)	
	High	Low	High	Low
Apr-08	659.70	516.25	650.00	533.25
May-08	697.95	600.90	684.00	612.00
Jun-08	665.00	481.00	684.90	470.25
Jul-08	512.30	380.40	512.00	382.00
Aug-08	460.00	390.50	465.00	390.00
Sep-08	445.00	312.55	444.00	326.00
Oct-08	340.00	148.00	385.00	141.00
Nov-08	205.95	115.00	210.00	130.00
Dec-08	199.00	134.15	195.00	129.00
Jan-09	198.00	149.10	198.00	145.10
Feb-09	161.00	134.30	174.75	132.00
Mar-09	154.00	120.00	150.00	120.00



Share Transfer System:

The Company has entered into an agreement with SHAREPRO SERVICES (India) PRIVATE LIMITED to act as Share Transfer Agent of the Company with effect from April 01, 2003. SHAREPRO SERVICES (India) PRIVATE LIMITED is also the Company's Depository Interface for both NSDL and CDSL. Accordingly, all documents, transfers, transmission, demat requests and other communications in relation thereto are required to be addressed to the Registrars directly at their following Offices:

Registered Office:	M/s Sharepro Services (India) Pvt. Ltd. (Unit: Balkrishna Industries Limited) 13AB Samhita Warehousing Complex, 2 nd Floor, Near Sakinaka Telephone Exchange, Andheri Kurla Road, Sakinaka, Andheri (E), Mumbai – 400 072
Contact Nos.	022-67720300, 67720400 Fax no : 022-28591568/28508927 Email: sharepro@shareproservices.com
Investor Relation Centre:	M/s Sharepro Services (India) Pvt Ltd. (Unit: Balkrishna Industries Limited) 912, Raheja Centre, Free Press Journal Road, Nariman Point, Mumbai 400 021
Contact Nos.	022- 66134700

Corporate Governance Report

Distribution of shareholding as on March 31, 2009:

No. of Equity Shares Held	No. of Shareholders	% of Shareholders	No. of Shares held	% Share holding
1 to 500	3,251	82.43	3,23,946	1.67
501 to 1000	269	6.82	1,90,592	0.98
1001 to 2000	175	4.43	2,37,019	1.23
2001 to 3000	73	1.85	1,80,931	0.94
3001 to 4000	36	0.91	1,24,865	0.65
4001 to 5000	13	0.33	60,026	0.31
5001 to 10000	42	1.07	3,08,669	1.60
10001 & above	85	2.16	1,79,05,671	92.62
Total	3,944	100.00	1,93,31,719	100.00

Dematerialisation of shares and liquidity:

The Company has entered into agreements with both National Securities Depository Limited (NSDL) and Central Depository Services Limited (CDSL) whereby shareholders have an option to dematerialise their shares with either of the depositories. As on 31st March 2009, 97.30% of Company's Share Capital was dematerialised.

Out Standing Foreign Currency Convertible Bonds (FCCB):

As on 31st March, 2009 FCCBs (USD 22 million) are outstanding, which were issued in the financial year 2006. The said bonds are convertible into equity shares, at the option of the holders, on or before 31st December, 2010.

Plant Locations

TYRE PLANTS	:	B-66, M.I.D.C., Waluj, Dist. Aurangabad 431 136 (Maharashtra)
	:	SP-923, RIICO, Phase-III, P.O. Bhiwadi 301 019 Dist. Alwar (Rajasthan)
	:	RIICO, Phase-VIII, Chopanki, P.O. Bhiwadi 301 707 Dist. Alwar (Rajasthan)
WIND FARM	:	Village Soda Mada, Tehsil: Fatehgarh, Dist. Jaisalmer. (Rajasthan)
MOULD UNIT	:	Plot No.TS-1, M.I.D.C, Phase no.II, Dombivali(E)421 201 Dist. Thane (Maharashtra)

For and on behalf of the Board of Directors

Place: Mumbai,
Dated: 16th May, 2009

DHARAPRASAD PODDAR
Chairman

Auditors' Certificate

To,
The Members of Balkrishna Industries Limited

I Arvind M. Poddar, Managing Director of Balkrishna Industries Limited declare that to the best of my knowledge and belief, all the members of the Board of Directors and Senior Management Personnel have affirmed compliance with the Code of Conduct for the year ended March 31, 2009.

For Balkrishna Industries Ltd.

Arvind M. Poddar
Managing Director

Place : Mumbai;
Dated: 16th May, 2009

Auditors' Certificate

On Compliance with the conditions of Corporate Governance under Clause 49 of the Listing Agreements.

To the Members of
Balkrishna Industries Limited

We have examined the compliance of conditions of Corporate Governance by Balkrishna Industries Limited (the Company) for the year ended March 31, 2009, as stipulated in Clause 49 of the Listing Agreement of the said Company with the Stock Exchanges.

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We further state that such compliance is neither an assurance to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For **JAYANTILAL THAKKAR & CO.**
Chartered Accountants

Place: Mumbai,
Dated: 16th May, 2009

ASHOK J THAKKER
Partner
Membership No. 7860

The Financial Section

Auditors' Report to the Members

1. We have audited the attached Balance Sheet of **BALKRISHNA INDUSTRIES LIMITED**, as at 31st March, 2009 and also the Profit and Loss Account and the Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 ('the Order') issued by the Central Government of India in terms of sub-section (4A) of Section 227 of the Companies Act, 1956, ('the Act'), we enclose in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to our comments in the Annexure referred to in paragraph 3 above, we report that :
 - i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - ii) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - iii) The Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - iv) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the accounting standards referred to in sub-section (3C) of Section 211 of the Act;
 - v) On the basis of written representations received from the directors, as on 31st March, 2009 and taken on record by the Board of Directors, we report that none of the directors is disqualified as on 31st March, 2009 from being appointed as a director in terms of clause (g) of sub-section (1) of Section 274 of the Act;
 - vi) In our opinion and to the best of our information and according to the explanations given to us, the said accounts, read together with the Accounting Policies and Notes to Accounts, appearing in Schedule 'R' to the accounts, give the information required by the Act, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - a. in the case of the Balance Sheet, of the state of affairs of the Company as at 31st March, 2009;
 - b. in the case of the Profit and Loss Account, of the PROFIT for the year ended on that date; and
 - c. in the case of Cash Flow Statement, of the cash flows for the year ended on that date.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner
Membership No. 7860

Mumbai,
Dated : 16th May, 2009

Annexure to the Auditors'

Referred to in paragraph 3 of our Report of even date on the accounts of Balkrishna Industries Limited for the year ended 31st March, 2009.

- i) a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- b) As explained to us, physical verification of these fixed assets is being conducted in a phased programme by the management designed to cover all the assets over a period of three years, which in our opinion is reasonable having regard to the size of the Company and the nature of assets. According to the information and explanations given to us no material discrepancies were noticed on such verification.
- c) The fixed assets disposed of during the year, in our opinion, do not constitute substantial part of the fixed assets of the Company and such disposal has, in our opinion, not affected the going concern status of the Company.
- ii) a) As explained to us, the inventories were physically verified during the year at intervals by the management. The goods in the possession of third parties as on 31st March, 2009 have been verified by the management with reference to the confirmation obtained from the third parties. In our opinion, the frequency of verification is reasonable.
- b) In our opinion and according to the information and explanations given to us, the procedures of physical verification of inventories followed by the management were reasonable and adequate in relation to the size of the Company and the nature of its business.
- c) In our opinion and according to the information and explanations given to us, the Company has maintained proper records of its inventories and the discrepancies noticed on such physical verification between physical stocks and book records were not material considering the operations of the Company and the same have been properly dealt with in the books of account.
- iii) a) As per the information and explanations given to us the Company has granted unsecured loans to three parties, of which two are wholly owned subsidiaries, covered in the register maintained under Section 301 of the Act. The maximum amount involved during the year was

Rs. 13,26,79,220 and the year-end balance of the loans granted was Rs. 1,68,67,690.

- b) According to the information and explanations given to us, the rate of interest and other terms and conditions of the loans, including that of not charging the interest to one of the subsidiaries, in our opinion and having regard to the holding and subsidiary company relationship, are not, prima facie, prejudicial to the interest of the Company.
- c) As per the information and explanations given to us and in our opinion, the receipt of the principal amount and interest, wherever applicable, are regular.
- d) As per the information and explanations given to us, the outstanding amount of the loans given was not overdue.
- e) As per the information and explanations given to us, the Company has taken unsecured loans from two parties, covered in the register maintained under Section 301 of the Act. The maximum amount involved during the year was Rs. 5,45,00,000 and the year-end balance of loans taken was Rs. 1,75,00,000.
- f) In our opinion and as per the information and explanations given to us, the rate of interest and other terms and conditions of such loans taken by the Company were not, prima facie, prejudicial to the interest of the Company.
- g) In our opinion and as per the information and explanations given to us, the Company was regular in repaying the principal amount as stipulated and was regular in payment of interest.
- iv) In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the Company and nature of its business for the purchase of inventory and fixed assets and for sale of goods. During the course of audit, we have not observed any continuing failure to correct major weaknesses in internal control system.
- v) a) Based on the audit procedures applied by us and according to the information and explanations given to us, we are of the opinion that the particulars of contracts or arrangements referred to in Section 301 of the Act have been entered in the register required to be maintained under that Section.

- b) In our opinion and as per the information and explanations given to us, the transactions made in pursuance of contracts or arrangements entered in the register maintained under Section 301 of the Act and exceeding the value of rupees five lakhs in respect of any party during the year have been made at prices which are reasonable having regard to prevailing market prices at the relevant time except the interest free loan granted by the Company to one of its subsidiaries.
- vi) In our opinion and according to the information and explanations given to us, the directives issued by the Reserve Bank of India and the provisions of Sections 58A, 58AA or any other relevant provisions of the Act and the rules framed there under, to the extent applicable, have been complied with in respect of the deposits accepted by the Company from the public. We are informed by the management that no order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any Court or any other Tribunal with respect to the deposits accepted from the public.
- vii) In our opinion, the Company has an internal audit system commensurate with its size and nature of its business.
- viii) We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209 (1) (d) of the Act and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.
- ix) a) According to the information and explanations given to us and on the basis of our examination of the books of account, the Company has been generally regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Service Tax, Custom Duty, Excise Duty, Cess and other material statutory dues, to the extent applicable, during the year with the appropriate authorities though there have been delays in few cases. However, as at 31st March, 2009 there were no undisputed dues outstanding for a period of more than six months from the date they became payable. During the year, the Company was not required to deposit any dues in respect of Wealth Tax.
- b) According to the information and explanations given to us, the dues in respect of Income-tax, Sales-tax, and Excise Duty that have not been deposited with the appropriate authorities on account of dispute and the forum where the disputes are pending are given below :

Name of Statute	Nature of Dues	Amount (Rs.)	Period to which the Amount Relates	Forum where dispute is pending
Income Tax Act	Income Tax (Including interest)	2,31,81,522	2001-04	Tribunal
		7,64,39,974	2004-06	Commissioner (Appeals)
	Fringe Benefit Tax (Including Interest)	7,65,361	2005-06	Commissioner (Appeals)
Sales Tax Act	Sales Tax (Including Interest and Penalty)	68,81,715	1992-93, 1997-98, 1999-2000	Tribunal
		5,39,34,367	1996-99, 2000-02	Commissioner (Appeals)
		9,99,15,314	2003-06	Assessing Authority
Central Excise Act	Excise Duty (Including Interest and Penalty)	68,85,258	2004-06, 2007-08	Tribunal
		83,63,845	1999-2001, 2004-07	Commissioner (Appeals)
		34,88,646	1994-96	Assessing Authority

- As per the information given to us, there are no dues of Service Tax, Custom Duty or Cess, which have not been deposited on account of any dispute. The Company is not liable to pay Wealth Tax.
- x) The Company does not have any accumulated losses at the end of the current financial year and has not incurred cash losses during current financial year and in the immediately preceding financial year.
 - xi) Based on our audit procedures and according to the information and explanations given to us, we are of the opinion that the Company has not defaulted in repayment of dues to banks or debenture holders.
 - xii) According to the information and explanations given to us, the Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
 - xiii) In our opinion, the Company is not a chit fund/nidhi/ mutual benefit fund/society. Therefore, the provisions of clause 4 (xiii) of the Order are not applicable to the Company.
 - xiv) According to the information and explanations given to us, the Company is not dealing or trading in shares, securities, debentures and other investments. Accordingly, the provisions of clause 4 (xiv) of the Order are not applicable to the Company.
 - xv) As per the information and explanations given to us, the Company has not given any guarantee for loans taken by others from bank or financial institutions.
 - xvi) On the basis of the records of the Company examined by us and as per the information and explanations given to us, the Company has not obtained any term loan during the year.
 - xvii) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, in our opinion, no funds raised on short-term basis have been used for long-term investment.
 - xviii) The Company has not made any preferential allotment of shares to parties and companies covered in the register maintained under Section 301 of the Act during the year.
 - xix) The Company has not issued any debentures during the year.
 - xx) During the year the Company has not raised funds by public issue. Therefore, the provisions of clause 4 (xx) of the Order are not applicable to the Company.
 - xxi) Based upon the audit procedures performed and to the best of our knowledge and belief and according to the information and explanations given to us, no fraud on or by the Company has been noticed or reported during the year.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner
Membership No. 7860

Mumbai,
Dated : 16th May, 2009

BALANCE SHEET

AS AT 31ST MARCH, 2009

	Schedule	Rupees	Current Year Rupees	Previous Year Rupees
I. SOURCES OF FUNDS				
1. SHAREHOLDERS' FUNDS :				
a) Capital	'A'	19,33,17,190		19,33,17,190
b) Reserves and Surplus	'B'	448,49,59,735		391,76,67,514
			467,82,76,925	411,09,84,704
2. LOAN FUNDS :				
a) Secured Loans	'C'	331,09,05,365		354,91,83,020
b) Unsecured Loans	'D'	141,72,03,039		179,92,44,046
			472,81,08,404	534,84,27,066
3. DEFERRED TAX LIABILITY (NET) (Refer Note No. 17 in Schedule 'R')			52,38,71,082	42,94,91,494
TOTAL			<u>993,02,56,411</u>	<u>988,89,03,264</u>
II. APPLICATION OF FUNDS				
1. FIXED ASSETS :	'E'			
a) Gross Block		738,79,49,784		572,06,76,315
b) Less : Depreciation		204,23,99,992		147,60,37,106
c) Net Block		534,55,49,792		424,46,39,209
d) Capital Work-in-Progress		74,71,70,042		127,42,27,037
			609,27,19,834	551,88,66,246
2. INVESTMENTS	'F'		32,22,58,235	34,10,69,659
3. CURRENT ASSETS, LOANS AND ADVANCES :				
a) Inventories	'G'	122,25,77,172		186,48,01,327
b) Sundry Debtors	'H'	219,08,11,465		195,03,35,997
c) Cash and Bank Balances	'I'	11,13,89,408		8,69,11,666
d) Other Current Assets	'J'	6,08,763		4,69,698
e) Loans and Advances	'K'	278,31,26,649		294,46,28,482
		630,85,13,457		684,71,47,170
Less: CURRENT LIABILITIES AND PROVISIONS:				
a) Liabilities	'L'	84,70,03,347		105,94,85,441
b) Provisions	'M'	194,62,31,768		175,86,94,370
		279,32,35,115		281,81,79,811
NET CURRENT ASSETS			351,52,78,342	402,89,67,359
TOTAL			<u>993,02,56,411</u>	<u>988,89,03,264</u>

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Balance Sheet.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 16th May, 2009

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

Mumbai,
Dated: 16th May, 2009

PROFIT & LOSS ACCOUNT



FOR THE YEAR ENDED 31ST MARCH, 2009

	Schedule	Current Year Rupees	Previous Year Rupees
INCOME :			
Sales and Related Income	'N'	1261,31,43,337	1003,81,19,801
Less : Excise Duty Recovered on Sales		8,97,92,268	12,43,58,499
		1252,33,51,069	991,37,61,302
Other Income	'O'	4,70,07,460	14,54,29,736
		1257,03,58,529	1005,91,91,038
EXPENDITURE :			
Manufacturing, Trading and Other Expenses	'P'	1055,13,20,240	774,01,72,967
Interest and Finance Charges	'Q'	37,50,44,574	26,95,79,291
Depreciation and Amortisation		56,51,62,762	43,83,05,902
		1149,15,27,576	844,80,58,160
		107,88,30,953	161,11,32,878
Add : Exceptional Item (Refer Note No. 4 in Schedule 'R')		NIL	2,80,48,575
PROFIT BEFORE TAX		107,88,30,953	163,91,81,453
Less : Provision for Taxation			
- Current Tax		27,40,00,000	49,30,00,000
- Deferred Tax (Net)		9,43,79,588	7,24,09,393
- Fringe Benefit Tax		1,10,00,000	55,00,000
PROFIT AFTER TAX		69,94,51,365	106,82,72,060
Add/(Less) : Adjustments relating to earlier years			
Short Provision for Income/(Expenses) (Net)		60,14,612	(16,90,612)
Profit before Extra ordinary Item		70,54,65,977	106,65,81,448
Less : Extra ordinary Item (Refer Note No. 5 in schedule 'R')		25,15,075	1,09,42,828
Profit after Extra ordinary Item		70,29,50,902	105,56,38,620
Balance Brought Forward From Last Year		58,58,77,729	26,77,19,128
PROFIT AVAILABLE FOR APPROPRIATION		128,88,28,631	132,33,57,748
APPROPRIATIONS :			
Transfer to General Reserve		49,46,08,660	50,00,00,000
Interim Dividend		NIL	8,69,92,736
Proposed Final Dividend		11,59,90,314	11,59,90,314
Tax on Dividends		1,96,68,367	3,44,96,969
		63,02,67,341	73,74,80,019
Balance Carried to Balance Sheet		65,85,61,290	58,58,77,729
		128,88,28,631	132,33,57,748
Earning Per Share before Extra ordinary Item			
- Basic		36.49	55.17
- Diluted		36.92	54.45
Earning Per Share after Extra ordinary Item			
- Basic		36.36	54.61
- Diluted		36.79	53.90
(Refer Note No. 19 in Schedule 'R')			

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Profit and Loss Account.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

Mumbai,
Dated: 16th May, 2009

VIPUL R. SHAH
Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

Mumbai,
Dated: 16th May, 2009

SCHEDULES

SCHEDULES ANNEXED TO AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH, 2009 AND PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED ON THAT DATE

	Rupees	Current Year Rupees	Previous Year Rupees
SCHEDULE 'A'			
SHARE CAPITAL :			
Authorised :			
2,50,00,000 Equity Shares of Rs. 10 each		<u>25,00,00,000</u>	<u>25,00,00,000</u>
Issued and Subscribed :			
1,93,31,719 Equity Shares of Rs. 10 each, fully paid up		<u>19,33,17,190</u>	<u>19,33,17,190</u>
		<u>19,33,17,190</u>	<u>19,33,17,190</u>
(Of the above Shares :			
i) 1,68,73,160 Equity Shares were allotted as fully paid up, by way of Bonus Shares by capitalisation of Share Premium Account and General Reserve.			
ii) 97,560 Equity Shares were allotted as fully paid up on conversion of convertible portion of partly convertible Debentures.			
iii) 7,60,999 Equity Shares were allotted as fully paid up on conversion of Foreign Currency Convertible Bonds-FCCB.)			
SCHEDULE 'B'			
RESERVES AND SURPLUS :			
Capital Reserves			
Capital Incentive Reserve :			
As per last Balance Sheet	<u>45,00,000</u>		<u>45,00,000</u>
Capital Profit Reserve :			
As per last Balance Sheet	NIL		2,32,22,096
Less: Transferred to General Reserve	<u>NIL</u>		<u>2,32,22,096</u>
			<u>NIL</u>
Capital Surplus Reserve :			
As per last Balance Sheet	<u>5,65,55,817</u>		<u>5,65,55,817</u>
		6,10,55,817	<u>6,10,55,817</u>
Share Premium Account :			
As per last Balance Sheet	<u>71,53,42,628</u>		89,04,64,130
Less: Adjustments pursuant to transfer of businesses under court approved scheme	<u>NIL</u>		<u>17,51,21,502</u>
		71,53,42,628	<u>71,53,42,628</u>
General Reserve :			
As per last Balance Sheet	<u>255,53,91,340</u>		203,86,93,500
Less: Adjustment for Employee Benefits Provision	NIL		65,24,256
Add : Transferred from Capital Profit Reserve	NIL		2,32,22,096
Add : Transferred from Profit and Loss Account	<u>49,46,08,660</u>		<u>50,00,00,000</u>
		305,00,00,000	<u>255,53,91,340</u>
Surplus in Profit and Loss Account		<u>65,85,61,290</u>	<u>58,58,77,729</u>
		<u>448,49,59,735</u>	<u>391,76,67,514</u>

SCHEDULE 'C'

SECURED LOANS :

Working Capital Loans
From Banks

Term Loans

From Banks

From Others

(Refer Note No. 3 in Schedule 'R')

SCHEDULE 'D'

UNSECURED LOANS :

Fixed Deposits

Loans and Advances from Subsidiary

Short Term Loans and Advances :

i) From Banks

ii) Commercial Paper

(Maximum Amount outstanding during the year
Rs. 37,76,10,160; Previous Year Rs. 37,76,10,160)

iii) 8.60% Redeemable Non Convertible Debenture of
the face value of Rs.10,00,00,000

Other Loans and Advances :

i) 4.5% Foreign Currency Convertible Bonds 'Series B'
(Refer Note No. 26 in Schedule 'R')

ii) Deferred Sales Tax under the scheme of
Government of Maharashtra

Rupees	Current Year Rupees	Previous Year Rupees
	322,47,44,373	321,27,26,828
	NIL	21,31,25,000
	8,61,60,992	12,33,31,192
	331,09,05,365	354,91,83,020
	NIL	15,50,000
	1,75,00,000	NIL
26,31,07,556		42,84,08,571
NIL		37,76,10,160
NIL		10,00,00,000
	26,31,07,556	90,60,18,731
112,09,00,000		87,93,40,000
1,56,95,483		1,23,35,315
	113,65,95,483	89,16,75,315
	141,72,03,039	179,92,44,046

SCHEDULE 'E'

GROSS BLOCK (AT COST)					DEPRECIATION (INCLUDING AMORTISATION)				NET BLOCK	
FIXED ASSETS	AS AT 01-04-2008	ADDITIONS DURING THE YEAR	DEDUCTIONS DURING THE YEAR	AS AT 31-3-2009	TOTAL UPTO 31-03-2008	FOR THE YEAR	DEDUCTIONS DURING THE YEAR	TOTAL UPTO 31-03-2009	AS AT 31-03-2009	AS AT 31-03-2008
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Freehold Land	1,07,360	3,65,15,678	NIL	3,66,23,038	NIL	NIL	NIL	NIL	3,66,23,038	1,07,360
Leasehold Land	7,65,84,715	18,74,041	NIL	7,84,58,756	29,46,994	8,45,141	NIL	37,92,135	7,46,66,621	7,36,37,721
Buildings and Roads	85,73,96,305	14,79,68,611	NIL	100,53,64,916	6,46,10,976	2,69,99,348	NIL	9,16,10,324	91,37,54,592	79,27,85,329
Plant And Machinery	430,89,90,112	134,42,87,934	16,85,868	565,15,92,178	130,80,16,098	50,55,54,967	4,71,538	181,30,99,527	383,84,92,651	300,09,74,014
Factory, Office And Other Equip ments	20,79,23,109	8,63,85,800	1,60,082	29,41,48,827	4,97,10,822	1,53,88,101	82,498	6,50,16,425	22,91,32,402	15,82,12,287
Electric Installations	16,82,29,862	2,72,51,243	6,056	19,54,75,049	2,83,94,430	93,10,583	1,167	3,77,03,846	15,77,71,203	13,98,35,432
Furniture And Fixtures	4,12,11,986	1,09,80,624	NIL	5,21,92,610	1,01,26,526	35,21,883	NIL	1,36,48,409	3,85,44,201	3,10,85,460
Vehicles	2,84,47,134	1,11,40,776	52,47,077	3,43,40,833	53,77,882	29,17,020	22,31,290	60,63,612	2,82,77,221	2,30,69,252
Air Conditioners	69,11,312	16,18,901	72,367	84,57,846	10,11,923	3,75,136	20,196	13,66,863	70,90,983	58,99,389
Intangible Assets - Computer Software	2,48,74,420	64,21,311	NIL	3,12,95,731	58,41,455	42,57,396	NIL	1,00,98,851	2,11,96,880	1,90,32,965
Current Year Total	572,06,76,315	167,44,44,919	71,71,450	738,79,49,784	147,60,37,106	56,91,69,575*	28,06,689	204,23,99,992	534,55,49,792	—
Previous Year Total	564,34,64,816	119,58,18,805	111,86,07,306	572,06,76,315	164,97,79,064	44,23,35,835	61,60,77,793	147,60,37,106	—	424,46,39,209
Capital Work In Progress (Including capital advances of Rs.17,86,00,401 (Previous Year Rs. 43,70,24,420)									74,71,70,042	127,42,27,037

* Including depreciation capitalised **Rs.40,06,814** (Previous year Rs 40,29,933) and is net of excess Depreciation of **Rs. 7,06,144** of earlier years (Previous Year including Rs. 10,34,438 short depreciation of earlier years)

SCHEDULE 'F'**INVESTMENTS :**

Other Than Trade (unless otherwise stated) :
(Fully paid up)

LONG TERM INVESTMENTS (At Cost) :**Unquoted :**

VS Lignite Power Private Limited (Trade) :

5,77,777 Class 'A' Equity Shares of Rs.10 each

11,14,223 Class 'A' 0.01% Cumulative Redeemable

Preference Shares of Rs. 10 each

57,77,770

57,77,770

1,11,42,230

1,11,42,230

1,69,20,000

1,69,20,000

In Subsidiaries (Trade) :

Balkrishna Paper Mills Limited :

30,00,000 Equity Shares of Rs. 10 each

19,50,000 1% Optionally Convertible Redeemable

Preference Share of Rs.10 each

3,00,00,000

3,00,00,000

19,50,00,000

19,50,00,000

22,50,00,000

22,50,00,000

Balkrishna Synthetics Limited :

10,00,000 Equity Shares of Rs. 10 each

6,50,000 1% Optionally Convertible Redeemable

Preference Share of Rs.10 each

1,00,00,000

1,00,00,000

6,50,00,000

6,50,00,000

7,50,00,000

7,50,00,000

3,00,000 Equity Shares of BKT EXIM Limited of Rs.10 each.

30,00,000

30,00,000

40,000 Equity Shares of BKT Tyres Limited of Rs.10 each

4,00,000

4,00,000

30,34,00,000

30,34,00,000

In Government Securities :

6 Year National Savings Certificates (Purchased during
the Current Year **Rs.10,000**; Previous Year Rs.3,000)

(Matured during the Current Year **Rs. 3,000**;

Previous Year Rs. NIL)

23,000

16,000

32,03,43,000

32,03,36,000

Quoted :

In Trust Securities :

19,836 - 6.75% Tax Free US64 Bonds of the Face Value
Rs.100 each (Matured during the year)

NIL

19,83,600

In Equity Shares:

4,98,759 Equity Shares of Govind Rubber Limited of
Rs. 10 each

1,87,50,059

1,87,50,059

Less: Provision for Diminution in value

1,68,34,824

NIL

19,15,235

1,87,50,059

19,15,235

2,07,33,659

32,22,58,235

34,10,69,659

(Refer Note No. 16 in Schedule 'R')

SCHEDULE 'G'**INVENTORIES :**

(As certified by the Management)

(At lower of Cost and Net Realisable Value)

Stores and Spares Parts

10,89,16,514

5,94,88,713

Fuel

1,08,83,934

1,36,01,220

Stock-in-Trade :

Raw Materials

54,87,15,396

128,69,75,160

Finished Goods

37,01,40,507

34,30,24,191

91,88,55,903

162,99,99,351

Work-in-Process

18,39,20,821

16,17,12,043

122,25,77,172

186,48,01,327

SCHEDULE 'H'

SUNDRY DEBTORS:

(Unsecured - Considered Good)

Debts outstanding for a period exceeding six months

Other Debts

Rupees	Current Year Rupees	Previous Year Rupees
	77,48,883	1,02,11,154
	218,30,62,582	194,01,24,843
	<u>219,08,11,465</u>	<u>195,03,35,997</u>

SCHEDULE 'I'

CASH AND BANK BALANCES :

Cash Balance on Hand

Bank Balances :

With Scheduled Banks on :

Current Accounts

Unpaid/Unclaimed Dividend Accounts

Fixed Deposits

(Including Deposit Receipt lodged with Government Authorities **Rs. 25,000**; Previous Year Rs. 25,000)

Margin Accounts (Including Fixed Deposits of **Rs. 1,52,68,188**; Previous Year Rs. 38,51,590)

(Deposits against Guarantees/Letters of Credit)

	38,73,118	15,21,340
8,50,90,069		7,46,09,135
71,33,033		58,71,607
25,000		9,99,859
<u>1,52,68,188</u>		<u>39,09,725</u>
	10,75,16,290	8,53,90,326
	<u>11,13,89,408</u>	<u>8,69,11,666</u>

SCHEDULE 'J'

OTHER CURRENT ASSETS:

Interest Accrued On

- Investments

- Others

Dividend Accrued on Investments

7,687	80,585
<u>3,41,076</u>	<u>3,14,522</u>
3,48,763	3,95,107
2,60,000	74,591
<u>6,08,763</u>	<u>4,69,698</u>

SCHEDULE 'K'

LOANS AND ADVANCES:

(Unsecured - Considered Good)

Advances recoverable in cash or in kind or for value to be received

Deposits against payment of Excise Duty

Advance payment of Taxes and Tax Deducted at source

Loans and Advances to Employees

Loan to a Subsidiary

86,69,03,952	134,71,01,523
1,14,835	28,440
189,37,45,681	158,61,46,884
54,94,491	30,66,628
<u>1,68,67,690</u>	<u>82,85,007</u>
<u>278,31,26,649</u>	<u>294,46,28,482</u>

SCHEDULE 'L'**CURRENT LIABILITIES:**

	Rupees	Current Year Rupees	Previous Year Rupees
Acceptances		15,74,01,610	9,38,44,220
Sundry Creditors			
i) Outstanding Dues of Micro and Small Enterprises #	NIL		NIL
ii) Outstanding Dues of Creditors other than Micro and Small Enterprises *			
	61,10,72,545		87,30,78,089
		61,10,72,545	87,30,78,089
Investor Education and Protection fund :			
Unclaimed Dividends		71,33,033	58,71,607
(No amount is due and outstanding to be credited to the fund)			
Other Liabilities		4,31,77,075	4,75,90,022
Interest accrued but not due on Loans		2,82,19,084	3,91,01,503
		84,70,03,347	105,94,85,441
# (Refer Note No. 25 in Schedule 'R')			
* Includes :			
(a) Due to Director/s Rs. 79,89,363			
(Previous Year Rs. 48,00,000)			
(b) Due to Subsidiaries Rs. 34,97,976 (Previous Year Rs.72,56,519)			

SCHEDULE 'M'**PROVISIONS :**

Taxation		178,42,06,040	149,92,06,040
Interim Dividend		NIL	8,69,92,736
Proposed Final Dividend		11,59,90,314	11,59,90,314
Tax on Dividends		1,96,68,367	3,44,96,969
Employee Benefits		2,63,67,047	2,20,08,311
		194,62,31,768	175,86,94,370

SCHEDULE 'N'**SALES AND RELATED INCOME :**

Sales		1227,88,86,708	990,39,14,369
Export Incentives		33,42,56,629	13,42,05,432
		1261,31,43,337	1003,81,19,801

SCHEDULE 'O'**OTHER INCOME:**

Income from Investments (Gross):			
Long Term Investments :			
Profit on sale of Long Term Investments in Subsidiaries	NIL		5,99,090
Interest (Other than Trade)	935		1,62,714
Dividend from Subsidiaries (Trade)	2,60,000		74,591
		2,60,935	8,36,395
Current Investments : Dividend (Other than Trade)		71,532	21,328
		3,32,467	8,57,723
Withdrawal of Provision for doubtful Debts no longer required		NIL	1,24,316
Miscellaneous Income		4,00,48,231	3,33,59,556
Unrealised Foreign Exchange Differences (Net)		NIL	10,96,47,503
Interest Subsidy from Government of Rajasthan		28,72,145	NIL
Interest on Deposits, Loans and Advances		37,54,617	14,40,638
{Tax deducted at source Rs. 7,65,537 (Previous year Rs.2,76,479)}			
		4,70,07,460	14,54,29,736

SCHEDULE 'P'

MANUFACTURING, TRADING AND OTHER EXPENSES:

	Rupees	Current Year Rupees	Previous Year Rupees
Purchase of Traded Goods		11,19,81,079	8,68,37,546
Raw Materials Consumed		720,02,84,768	562,17,90,005
Stores and Spare Parts Consumed		29,23,22,709	21,26,58,956
Packing Expenses		55,16,548	45,75,389
Power and Fuel		53,54,53,507	45,53,28,161
Excise Duty on variation of Stock of Finished Goods		(10,37,034)	(9,84,935)
Labour/Job Charges		21,90,33,446	18,00,81,965
Water Charges		14,40,012	18,65,681
Freight and Forwarding		87,03,11,345	73,71,70,675
Salaries, Wages and Bonus		29,94,96,748	23,56,33,492
Contribution to Provident and Other Funds		2,31,22,429	1,64,67,797
Workmen and Staff Welfare Expenses		64,87,030	50,15,069
Repairs and Maintenance of :			
Plant and Machinery	4,27,21,183		1,52,35,511
Buildings	2,46,40,409		80,76,388
Others	2,34,53,279		1,16,93,079
		9,08,14,871	3,50,04,978
Insurance Charges (Net)		1,52,85,942	2,29,94,147
Rates and Taxes		1,24,98,301	85,59,288
Rent/Lease Rent		2,75,32,170	1,51,52,323
Legal and Professional Charges		5,76,22,302	4,63,09,016
Advertisement, Publicity and Sales Promotion		13,91,32,242	6,07,31,328
Commission on Sales		90,76,288	73,83,559
Discount		NIL	8,99,824
Travelling and Conveyance		4,49,51,985	3,33,71,185
Directors' Meeting Fees		5,10,000	3,87,500
Provision for diminution in value of long term investment		1,68,34,824	NIL
Loss on Sale of Fixed Assets (Net)		10,60,360	91,82,160
Unrealised Foreign Exchange Differences (Net)		38,50,26,005	NIL
Miscellaneous Expenses		23,58,87,457	12,04,53,434
(INCREASE) IN STOCKS:			
Opening Stock:			
Work-in-Process	16,17,12,043		14,91,47,767
Finished Goods	34,30,24,191		17,88,92,891
	50,47,36,234		32,80,40,658
Less :			
Closing Stock :			
Work-in-Process	18,39,20,821		16,17,12,043
Finished Goods	37,01,40,507		34,30,24,191
	55,40,61,328		50,47,36,234
		(4,93,25,094)	(17,66,95,576)
		1055,13,20,240	774,01,72,967

SCHEDULE 'Q'

INTEREST AND FINANCE CHARGES

Interest			
On Debenture and Fixed Loans	31,54,45,244		26,55,11,901
To Others	35,63,523		40,67,390
		31,90,08,767	26,95,79,291
Finance Charges		5,60,35,807	NIL
		37,50,44,574	26,95,79,291

SCHEDULE 'R'

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The accounts have been prepared in accordance with historical cost convention and on accrual basis.

Use of Estimates

The presentation of financial statements in conformity with the generally accepted accounting principles requires estimates and assumptions to be made that affect the reported amounts of assets and liabilities on the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Difference between the actual and estimates are recognised in the period in which the results are known/materialised.

Fixed Assets

- a) Fixed Assets are stated at cost less depreciation. Cost comprises of purchase price and attributable expenses (including financing charges) and is net of permissible credits/set offs.
- b) Expenditure (including financing charges) incurred for fixed assets, the construction / installation/acquisition of which is not completed, is included under the Capital Work-in-Progress and the same is related/classified to the respective fixed assets on the completion.

Depreciation/Amortisation

- a) Depreciation on fixed assets (other than leasehold land) has been provided in accordance with Schedule XIV to the Companies Act, 1956, on Straight Line Method. In respect of fixed assets whose actual cost does not exceed Five thousand rupees, depreciation is provided at the rate of 100 percent, irrespective of the date of addition during the year.
- b) Premium on Leasehold Land is amortised over the duration of the Lease.

Investments

Investments are valued at cost plus attributable expenses of acquisition and are classified as Long Term Investments and Current Investments (investments intended to be held for not more than one year). Long Term Investments are stated at cost. However, where there is a diminution, other than temporary, in the value of a long-term investment, necessary provision is made to recognise the decline. Current Investments are stated at lower of cost and fair value, computed on individual investment basis.

Valuation of Inventories

Inventories are valued at lower of the cost and net realisable value. Cost of inventories is computed on moving weighted average cost basis. Cost comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Sales

Sales are inclusive of Excise Duty but excluding Value Added Tax/Central Sales Tax and are net of Trade Discounts, Rebates and Incentives.

Export Benefits

Consumption of Raw Materials is arrived at after adjusting the difference between the cost of indigenous/duty paid imported raw materials and international cost of raw materials entitled to be imported/imported under Duty Exemption Scheme of the Government of India against direct/indirect exports made/to be made by the Company during the year. Export Incentives under Duty Entitlement Pass Book Scheme and Focus Market Scheme under EXIM policy/ Foreign Trade Policy are accounted for in the year of export. Profit/Loss on sale of DEPB/Import licenses is accounted in the year of such sale.

Foreign Currency Transactions

Transactions in foreign currencies are accounted at the exchange rates prevailing on the day of the transaction. Gains and losses arising out of subsequent fluctuations are accounted on actual payment/realisation. Monetary items related to foreign currency transactions, remaining unsettled at the end of the year are adjusted at the rates prevailing at the year end or are stated at the amounts likely to be realised or required to be disbursed, except for those considered doubtful of recovery. The exchange fluctuation arising on account of such adjustments are dealt in Profit and Loss Account. Non-monetary items are reported by using the exchange rate at the date of transaction.

The Company enters into Forward Contracts to hedge its Foreign Currency Exposures. Premium/ Discount in respect of outstanding forward contracts at the year end are amortized as expense or income over the life of the contract.

Employee Benefits:**A) Short-term employee benefits:**

Short-term employee benefits consisting of wages, salaries, social security contributions, ex-gratia and accrued leave are recognized in the year to which it relates.

B) Post employment benefits:

- i) Benefits in the nature of contribution to provident fund, superannuation scheme, employee state insurance scheme etc. provided by the company to the employees have been identified as defined contribution plans in terms of provisions of AS-15 on "Employee Benefits" where the obligation of the Company is limited to a pre-agreed amount as fixed by the administrator of those plans. Such contributions are recognised in the year to which they relate.
- ii) Benefit in the nature of gratuity paid by Company to the employees has been identified as defined benefit plan in terms of provisions of AS-15 on "Employee Benefits". The gratuity scheme in respect of the employees of the company is administered through Life Insurance Corporation of India (LIC). Annual contributions as determined by LIC are charged to profit and loss account. The liability of the company is also determined through actuarial valuation technique at balance sheet date and the additional liability, if any, arising out of the difference between the actuarial valuation and the plan assets as at the balance sheet date is provided for at the year end.

Research and Development

Revenue expenditure on Research and Development is charged to Profit and Loss Account as incurred. Capital expenditure on assets acquired for Research and Development is added to Fixed Assets.

Government Grants

Special Capital Incentive received from the Government for setting up/expansion of an industrial undertaking in underdeveloped area of the State, is credited to Capital Reserve (Capital Incentive Reserve). Government grants/subsidy related to specific fixed assets is reduced from the cost of the asset concerned.

Borrowing Cost

Borrowing costs directly attributable to the acquisition/construction/installation of fixed assets are capitalised as part of the cost of the assets up to the date the assets are put to use. Other borrowing costs are charged to Profit and Loss Account.

Taxation

- a) Provision for current tax is made and retained in the accounts on the basis of estimated tax liability as per the applicable provisions of the Income Tax Act, 1961.
- b) Deferred tax assets and liabilities are recognised for timing differences between the accounting and taxable income, based on tax rates that have been enacted or substantively enacted by the Balance Sheet date. Deferred tax assets, subject to the consideration of prudence, are recognised only if there is reasonable certainty that sufficient future taxable income will be available, against which they can be realised. At each Balance Sheet date, the carrying amount of deferred tax assets is reviewed to reassure its realisation.

Leases

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis. Assets leased out under operating lease are capitalised, depreciation thereon is provided in the books and rental income is recognised on accrual basis over the lease term. Assets leased out are stated at original cost and the depreciation thereon is provided in the books.

Impairment

The carrying amount of an asset is reviewed at each balance sheet date for any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital.

Provisions, Contingent Liabilities and Contingent Assets

A provision is made based on a reliable estimate when it is probable that an outflow of resources embodying economic benefit will be required to settle an obligation. Contingent Liabilities, if material, are disclosed by way of notes to accounts. Contingent Assets are not recognised or disclosed in the financial statements.

B. NOTES TO ACCOUNTS :

1 Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advances)

Current Year Rupees	Previous Year Rupees
62,78,78,146	60,95,85,528

2 Contingent Liabilities in respect of:

- Guarantees given by the Company's bankers on behalf of the Company
- Premium payable on redemption of Foreign Currency Convertible Bonds 'Series B'
- Disputed claims for excise and sales tax
- Disputed income tax demands

13,35,42,964	7,67,96,937
5,72,07,934	3,12,20,887
19,41,92,368	8,81,55,997
15,23,86,857	17,16,36,385

(The outflow in respect of contingent liabilities is totally uncertain as the same depends on the final outcome of the disputes, wherever applicable)

3 Nature of security in respect of "Secured Loans"

I Working Capital Loans from Banks:

Cash Credits, Packing Credit, Bills Discounting, Working Capital Demand Loan and Buyers Credit:

Secured by first charge by way of hypothecation of stock of raw materials, stores and spares, stock in process, finished goods, material in transit, book debts and other movables on pari-passu basis and further secured by second charge on fixed assets of the Company, both present and future, except certain fixed assets on which exclusive charge has been created in favour of G.E. Capital Services India.

II Term Loans from Bank: (in previous year)

Secured by pari-passu first charge on the entire fixed assets of the Company situated at Bhiwadi unit, Chopanki unit and Wind farm at Jaisalmer, all in the state of Rajasthan, and further secured by second charge on entire current assets of the Company, both present and future.

III Term Loans from Others

(i) DEG - Deutsche Investitions-und Entwicklungsgesellschaft mbH

Secured by pari-passu first charge on entire fixed assets of the Company, situated at Bhiwadi unit, Chopanki unit and Wind farm at Jaisalmer all in the state of Rajasthan.

(ii) G.E. Capital Services India

Secured by exclusive first charge by way of hypothecation of specific machineries purchased out of the proceeds of the said loan.

4 Exceptional Item :

In the Previous year, an amount of Rs.2,80,48,575 was received from insurance company against loss of profit (LOP) policy due to reduction in production caused by fire at Company's Aurangabad Tyre Plant during March 2007.

5 Extra Ordinary Item represents the difference between the actual payment and provision of Rs. 98,00,000 made in previous year, included along with other expenses incurred, on account of stamp duty payable on transfer of assets of erstwhile Paper and Textiles Processing Divisions to two separate wholly owned Subsidiary Companies.

6 Managerial Remuneration

- To Managing Director, Executive Directors and Whole Time Directors
 - Salaries
 - Commission
 - Perquisites
 - Contribution to Provident and Other Funds
 - Employee Benefits
- To Other Directors
 - Meeting Fees

Current Year Rupees	Previous Year Rupees
55,15,161	43,00,000
78,58,064	48,00,000
53,94,660	43,85,000
13,39,204	10,26,500
14,53,151	3,13,634
2,15,60,240#	1,48,25,134
5,10,000	3,87,500
2,20,70,240	1,52,12,634

(Rs.99,37,221 is Subject to approval of Shareholders)

7 Computation of net profit in accordance with Section 198, 309 and 349 of the Companies Act, 1956 and the Commission payable to the Managing Director and Executive Directors.

	Rupees	Current Year Rupees	Previous Year Rupees
a) Computation of Net Profit			
Profit after tax as per Profit and Loss Account		69,94,51,365	106,82,72,060
Add:			
Provision for Taxation	37,93,79,588		57,09,09,393
Managerial Remuneration	2,20,70,240		1,52,12,634
Provision for Diminution in Value of Long Term Investment	1,68,34,824		NIL
Adjustment relating to earlier years (Net)	60,14,612		NIL
		42,42,99,264	58,61,22,027
		112,37,50,629	165,43,94,087
Less :			
Capital Profit on Sale of Fixed Assets	4,38,897		NIL
Profit on sale of Long Term Investments in Subsidiaries	NIL		5,99,090
Withdrawal of Provision for doubtful Debts and Advances (Net)	NIL		1,24,316
Adjustment relating to earlier years (Net)	NIL		16,90,612
		4,38,897	24,14,018
Net Profit		112,33,11,732	165,19,80,069
b) Commission payable to the Managing Director and Executive Directors as determined by the Board of Directors.		78,58,064	48,00,000

8 Remuneration to : Statutory Auditors:

a. Audit Fees	12,00,000	12,00,000
b. In other capacity for :		
i) Tax Audit	3,00,000	3,50,000
ii) Taxation Matters	3,20,000	2,27,500
iii) Company Law Matters	2,95,000	2,00,000
iv) Other Services - Certification etc.	4,20,000	4,35,000
c. Reimbursement of :		
Service Tax	2,85,626	2,97,504
Expenses	37,150	47,080

9 a) Information in respect of Goods Manufactured:

(As Certified by the Management)

Product	Unit of Measurement	Licensed Capacity	Installed Capacity	Opening Stock		Actual Production	Closing Stock	
		Quantity	Quantity	Quantity	Value in Rupees	Quantity	Quantity	Value in Rupees
Tyres	Numbers	49.45 lacs (49.45 lacs)	40.58 lacs (33.41 lacs)	98,728 (50,283)	31,86,69,546 (16,28,05,489)	18,95,202 (18,31,215)	1,04,229 (98,728)	34,65,00,894 (31,86,69,546)
Tyre Flaps	Numbers	N.A (N.A)	3.79 lacs (3.79 lacs)	7,169 (15,298)	4,05,628 (7,69,408)	57,503 (67,559)	16,795 (7,169)	12,28,723 (4,05,628)
Wind Power Generation (Captively consumed)	KWH/Units	N.A (N.A)	5 MW (5 MW)	NIL (NIL)	NIL (NIL)	76,24,327 (69,12,231)	NIL (NIL)	NIL (NIL)
					31,90,75,174 (16,35,74,897)			34,77,29,617 (31,90,75,174)

- The difference in quantities is on account of captive consumption, free samples and wastage/damages.
- Licensed capacities include additional capacities for which Memoranda have been filed with appropriate Government Authorities, under the scheme of delicensing notified by the Government of India.
- Installed capacity for tyres is based on the product mix and on the average weight of tyres manufactured.

b) Information in respect of Goods Traded in :

(As certified by the Management)

		Opening Stock		Purchases		Closing Stock	
Product	Unit of Measurement	Quantity	Value in Rupees	Quantity	Value in Rupees	Quantity	Value in Rupees
Tyres	Number	349 (94)	16,02,642 (3,87,886)	7,533 (4,670)	4,53,48,330 (1,56,66,238)	522 (349)	20,45,515 (16,02,642)
Tubes	Number	34,189 (41,225)	2,13,87,474 (1,44,40,504)	99,591 (1,11,372)	6,09,31,149 (6,41,82,326)	28,811 (34,189)	1,95,19,308 (2,13,87,474)
Tyre Flaps	Number	8,065 (4,449)	9,58,901 (4,89,604)	56,311 (57,280)	57,01,601 (69,88,982)	5,891 (8,065)	8,46,067 (9,58,901)
			2,39,49,017 (1,53,17,994)		11,19,81,080 (8,68,37,546)		2,24,10,890 (2,39,49,017)

c) Information in respect of Sales:

	Unit of Measurement	Quantity	Value in Rupees
Tyres	Numbers	18,97,061 (17,87,185)	1218,28,99,942 (981,73,46,691)
Tubes	Numbers	1,04,911 (1,17,823)	7,91,39,978 (7,06,64,641)
Tyre Flaps	Numbers	1,06,362 (1,20,274)	1,68,46,788 (1,59,03,037)
			1227,88,86,708 (990,39,14,369)

10 Consumption of Raw Materials:

(As certified by the Management)

	Quantity in Metric Tonnes	Value in Rupees
a. Natural Rubber	27,477 (26,084)	299,64,86,657 (245,98,42,090)
b. Synthetic Rubber	11,953 (9,539)	124,50,24,134 (72,78,82,199)
c. Tyre Cord/Fabrics	5,559 (5,173)	97,30,51,351 (76,07,29,518)
d. Carbon Black	21,213 (18,866)	92,79,64,591 (75,96,79,017)
e. Colours, Chemicals and Other Materials	-	105,77,58,035 (91,36,57,181)
		720,02,84,768 (562,17,90,005)

11 Value of Raw Materials and Stores and Spare Parts Consumed :

(As certified by the Management)

	Raw Materials		Stores and Spare Parts	
	Rupees	%	Rupees	%
a) Imported	242,70,75,441 (323,94,51,983)	33.71 (57.62)	5,23,52,245 (1,42,54,009)	17.91 (6.70)
b) Indigenous	477,32,09,327 (238,23,38,022)	66.29 (42.38)	23,99,70,464 (19,84,04,947)	82.09 (93.30)
	720,02,84,768 (562,17,90,005)	100.00 (100.00)	29,23,22,709 (21,26,58,956)	100.00 (100.00)

12 The following sales have been deducted from the consumption and profit/loss, if any, remains adjusted therein.

Raw Materials

13 Value of Imports by the Company on C.I.F. basis :

	Current Year Rupees	Previous Year Rupees
Raw Materials	1,90,39,292	3,25,40,870
a) Raw Materials	409,98,60,714	325,10,06,408
b) Stores and Spare Parts	6,66,23,851	72,32,636
c) Capital Goods	59,47,07,918	51,77,84,001
	476,11,92,483	377,60,23,045

14 Expenditure in Foreign Currency :*

a) Interest	20,16,33,465	11,44,90,210
b) Professional/Consultation Fees	2,18,16,864	2,30,55,210
c) Travelling, Subscription, Insurance Premium, Commission etc.	27,91,60,619	11,06,12,850
	50,26,10,948	24,81,58,270

* Including amount capitalised **Rs.1,39,96,905**
(Previous year Rs. 90,55,597)

15 Earnings in Foreign Exchange: (excluding exports to Nepal)

a) Export of Goods on FOB Basis	1087,40,58,460	841,06,48,487
b) Recovery towards Freight and Insurance on exports	52,35,24,506	39,26,81,112
c) Recovery of Capital Expenditure	24,77,815	NIL
	1140,00,60,781	880,33,29,599

16 a) Aggregate Value of Investments

Quoted Investments (Net of Provision)	19,15,235	2,07,33,659
Unquoted Investments	32,03,43,000	32,03,36,000
	32,22,58,235	34,10,69,659
Market Value of Quoted Investments	19,15,235	91,77,631

b) During the current year the Company has made provision of **Rs. 1,68,34,824** for the diminution in the value of quoted long term investment.

c) Details of Current Investment in units of Mutual funds purchased and sold during the year :

Names	Current Year		Previous Year	
	No. of Units (Face value of Rs.10 each)	Purchase Cost	No. of Units (Face value of Rs.10 each)	Purchase Cost
Prudential ICICI Liquid Plan	NIL	NIL	25,02,133	2,50,00,000
LIC MF Liquid Fund	95,21,309	10,25,00,000	NIL	NIL

17 Deferred Tax Liability/Asset at the year end comprise timing differences on account of :

	Current Year Rupees	Previous Year Rupees
a) Deferred Tax Liability on account of : Depreciation	53,69,77,272	44,11,16,150
b) Deferred Tax Assets on account of : Expenses allowable for tax purpose when paid	1,31,06,190	1,16,24,656
	1,31,06,190	1,16,24,656
Net Deferred Tax Liability	52,38,71,082	42,94,91,494

18 SEGMENT INFORMATION

A. Primary Business Segments:-

The Company has only one business segment, namely Tyres(including Tubes and Flaps) therefore primary business segment reporting as required by AS-17 is not applicable.

B. Secondary Segment - Geographical by location of customers

	Rupees
Segment Revenue	
Sales and Related Income :	
In India	121,55,60,371 (123,47,90,202)
Outside India - Europe	684,61,73,515 (616,53,40,698)
- Others	455,14,09,451 (263,79,88,901)
	1139,75,82,966 (880,33,29,599)
Total	1261,31,43,337 (1003,81,19,801)
Segment Assets	
In India	1023,88,97,699 (1122,28,04,728)
Outside India	216,23,35,592 (114,32,08,688)
Total	1240,12,33,291 (1236,60,13,416)
Total Cost incurred during the year to acquire Segment Fixed Assets	
In India	114,73,87,924 (171,22,25,612)
Outside India	NIL (NIL)
Total	114,73,87,924 (171,22,25,612)
Segment Assets exclude Investments	32,22,58,235 (34,10,69,659)

19 Earning Per Share (EPS)

(In accordance with Accounting Standard - 20)

	Current Year Rupees	Previous Year Rupees
i) (A) Profit Computation for Basic Earning Per Share		
Profit for the year after Tax	69,94,51,365	106,82,72,060
Short Provision for Income/(Expenses) - Net	60,14,612	(16,90,612)
Profit before Extra ordinary Item	70,54,65,977	106,65,81,448
Less: Extra ordinary Item	25,15,075	1,09,42,828
Profit after Extra ordinary Item	70,29,50,902	105,56,38,620
(B) Adjustment for the purpose of Diluted EPS		
Interest on 'Series B' Foreign Currency Convertible Bonds	5,32,83,753	3,90,52,429
Less : Tax on above	1,81,11,147	1,32,73,921
Adjustment for the purpose of Diluted EPS	3,51,72,606	2,57,78,508
(C) Profit for Diluted earning per share (Before Extra ordinary Item)	74,06,38,583	109,23,59,956
(D) Profit for Diluted earning per share (After Extra ordinary Item)	73,81,23,508	108,14,17,128
ii) Weighted Average number of equity shares for Earning Per Share Computation		
A) For Basic Earning Per Share	1,93,31,719	1,93,31,719
B) For Diluted Earning Per Share		
Number of Shares for Basic EPS	1,93,31,719	1,93,31,719
Add : Weighted Average number of Shares deemed to have been issued on future conversion of 'Series B' Foreign Currency Convertible Bonds	7,30,560	7,30,560
Number of Shares for Diluted Earning Per Share	2,00,62,279	2,00,62,279
iii) Nominal Value of Equity Shares (in Rupees)	10	10
Earning Per Share (Weighted Average) (Before Extra ordinary item)		
Basic	36.49	55.17
Diluted	36.92	54.45
iv) Earning Per Share (Weighted Average) (After Extra ordinary item)		
Basic	36.36	54.61
Diluted	36.79	53.90

20 I) Related Party Disclosures *

(Where transactions have taken place)

(a) Key Management Personnel (KMP)

Mr. Arvind M. Poddar - Managing Director, Mr. Rajiv A. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. Anurag P. Poddar-Executive Director (w.e.f.22/01/2009), Mr. B.K.Bansal - Director Finance (w.e.f. 26/07/2008), Mr. Trilok Chand Goel - Sr. President cum Director (upto 25/07/2008).

(b) Relatives of Key Management Personnel :

Mr. Rajiv A.Poddar (upto 21/01/2009).

(c) Other Related Parties -(Enterprises-KMP having significant influence/owned by major shareholders) Siyaram Silk Mills Ltd., Govind Rubber Ltd., S. P. Finance & Trading Ltd., Poddar Brothers and Investment Pvt. Ltd.,S.P.Investrade India Ltd.,SPG Realty Pvt. Ltd., SPG Infrastructure Ltd., GRL International Ltd., Balgopal Holdings and Traders Ltd.

Related Party Transactions				Rupees
Transactions	KMP	Relatives of (KMP)	Other Related Parties	Total
Purchase of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	56,67,569 (78,66,622)	56,67,569 (78,66,622)
Sales of Goods/Materials	NIL (NIL)	NIL (NIL)	1,71,53,574 (3,28,05,182)	1,71,53,574 (3,28,05,182)
Expenses reimbursed	NIL (NIL)	NIL (NIL)	NIL (15,33,600)	NIL (15,33,600)
Rent received	NIL (NIL)	NIL (NIL)	13,43,464 (NIL)	13,43,464 (NIL)
Recovery of expenses	NIL (NIL)	NIL (NIL)	12,15,494 (5,97,025)	12,15,494 (5,97,025)
Loan given	NIL (NIL)	NIL (NIL)	10,00,00,000 (NIL)	10,00,00,000 (NIL)
Loan refund received	NIL (NIL)	NIL (NIL)	10,00,00,000 (NIL)	10,00,00,000 (NIL)
Purchase of Fixed Assets	NIL (NIL)	NIL (NIL)	NIL (14,00,800)	NIL (14,00,800)
Advance Against Acquisition of Fixed Assets	NIL (NIL)	NIL (NIL)	1,80,00,000 (NIL)	1,80,00,000 (NIL)
Loan received	NIL (NIL)	NIL (NIL)	2,50,00,000 (30,50,00,000)	2,50,00,000 (30,50,00,000)
Loan repaid	NIL (NIL)	NIL (NIL)	2,50,00,000 (30,50,00,000)	2,50,00,000 (30,50,00,000)
Interest paid on Loan received	NIL (NIL)	NIL (NIL)	1,97,260 (1,66,060)	1,97,260 (1,66,060)
Interest received on Loan given	NIL (NIL)	NIL (NIL)	10,16,438 (NIL)	10,16,438 (NIL)
Irrecoverable amount Written Off	NIL (NIL)	NIL (NIL)	10,08,914 (NIL)	10,08,914 (NIL)
Provision for Diminution in value of Investment	NIL (NIL)	NIL (NIL)	1,68,34,824 (NIL)	1,68,34,824 (NIL)
Remuneration	2,15,60,240 (1,48,25,134)	3,75,803 (4,65,996)	NIL (NIL)	2,19,36,043 (1,52,91,130)
Receivables	NIL (NIL)	NIL (NIL)	2,16,88,226 (3,24,85,793)	2,16,88,226 (3,24,85,793)
Payables	79,89,363 (48,00,000)	NIL (NIL)	2,23,901 (NIL)	82,13,264 (48,00,000)

(d) **Transactions with subsidiary**

Transactions	Balkrishna Paper Mills Ltd	Balkrishna Synthetics Ltd
i) Pursuant to scheme of arrangement:		
Sale of Fixed Assets	NIL (12,72,30,121)	NIL (14,03,36,296)
Sale of Current Assets, Loans and Advances	NIL (19,99,62,292)	NIL (6,29,80,628)
Transfer of Current Liabilities and Provisions	NIL (7,55,46,905)	NIL (4,89,39,924)
Transfer of Secured and Unsecured Loans	NIL (2,66,45,508)	NIL (7,94,92,201)
ii) Investment made during the year in Subsidiary	NIL (22,50,00,000)	NIL (7,50,00,000)

iii) **Other Transaction:**

Transactions	BKT Tyres Ltd.	BKT (EUROPE) Ltd.	BKT Europe s.r.l.	Balkrishna Paper Mills Ltd.	Balkrishna Synthetics Ltd.	BKT EXIM Ltd.
Marketing Service Expenses Paid	NIL (NIL)	67,87,928 (67,17,392)	4,88,51,137 (3,53,74,258)	NIL (NIL)	NIL (NIL)	NIL (NIL)
Purchase of Fixed Assets	NIL (NIL)	NIL (NIL)	NIL (NIL)	48,207 (NIL)	NIL (NIL)	NIL (NIL)
Sale of Share	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (15,64,040)
Reimbursement of Expenses	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (4,87,506)	NIL (NIL)	NIL (4,28,499)
Loan received	NIL (NIL)	NIL (NIL)	NIL (NIL)	2,95,00,000 (2,36,16,645)	NIL (NIL)	NIL (NIL)
Loan repaid	NIL (NIL)	NIL (NIL)	NIL (NIL)	1,20,00,000 (2,36,16,645)	NIL (NIL)	NIL (NIL)
Loan given	NIL (NIL)	NIL (NIL)	NIL (NIL)	1,50,00,000 (NIL)	97,90,586 (1,01,45,660)	NIL (NIL)
Loan refund received	NIL (NIL)	NIL (NIL)	NIL (NIL)	1,50,00,000 (NIL)	12,07,903 (18,60,653)	NIL (NIL)
Interest paid on Loan received	NIL (NIL)	NIL (NIL)	NIL (NIL)	3,68,860 (1,75,049)	NIL (NIL)	NIL (NIL)
Interest received on Loan given	NIL (NIL)	NIL (NIL)	NIL (NIL)	3,06,418 (NIL)	NIL (NIL)	NIL (NIL)

Transactions	BKT Tyres Ltd.	BKT (EUROPE) Ltd.	BKT Europe s.r.l.	Balkrishna Paper Mills Ltd.	Balkrishna Synthetics Ltd.	BKT EXIM Ltd.
Dividend Received from Subsidiary	NIL (NIL)	NIL (NIL)	NIL (NIL)	1,95,000 (55,943)	65,000 (18,648)	NIL (NIL)
Sale of Investment during the year	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (1,15,200)	NIL (NIL)
Investment made during the year	NIL (400,000)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (30,00,000)
Sale of goods/ Material Services	NIL (NIL)	NIL (NIL)	NIL (5,53,463)	2,12,428 (1,83,316)	NIL (NIL)	NIL (NIL)
Rent Received	NIL (NIL)	NIL (NIL)	NIL (NIL)	14,00,248 (17,56,861)	NIL (NIL)	NIL (NIL)
Sale of DEPB Licence	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (8,85,132)	NIL (NIL)	NIL (NIL)
Recovery of expenses	NIL (NIL)	NIL (NIL)	NIL (NIL)	2,41,864 (NIL)	NIL (NIL)	NIL (NIL)
Receivables	NIL (NIL)	NIL (NIL)	NIL (NIL)	NIL (55,943)	1,69,32,690 (83,03,655)	NIL (NIL)
Payables	NIL (NIL)	9,11,011 (5,86,690)	20,33,502 (62,41,330)	1,73,05,000 (NIL)	NIL (NIL)	NIL (4,28,499)

* Parties identified by the Management and relied upon by the auditors.

II) Disclosures required by clause 32 of the listing agreement

Name of the Company	Outstanding at the year end	Maximum Amount outstanding during the year
	Rupees	Rupees
a) Amount of Loans/Advances in nature of loans outstanding from Subsidiary		
Balkrishna Paper Mills Limited (No repayment schedule)	NIL (NIL)	1,00,19,511 (NIL)
Balkrishna Synthetics Limited (No repayment schedule and interest free)	1,68,67,690 (82,85,007)	1,76,79,220 (1,01,45,660)
b) Amount of Loans/Advances in nature of loans outstanding from Companies in which Directors are interested		
Siyaram Silk Mills Limited	NIL (NIL)	10,00,00,000 (NIL)

21 Leases - Operating leases :

- i) The Company has taken commercial premises under cancellable and non-cancellable operating leases.
- ii) Future minimum Lease Payments under non - cancellable operating leases :

	Current Year Rupees	Previous Year Rupees
not later than one year	48,44,160	92,72,460
later than one year and not later than five years	40,36,800	1,25,71,210
later than five years	NIL	NIL
iii) The rental expenses recognised in Profit and Loss account for operating leases :		
(a) Minimum Rent	2,75,25,688	1,47,81,048
(b) Contingent Rent	NIL	NIL
iv) The Company has given certain portion of its office premises on lease and the agreement for the same is for a period of six months with no further renewal. The said agreement can be terminated by giving one month prior written notice by the lessee or the Company.		
Gross carrying amount of the office premises leased, included in Schedule 'E' Fixed Assets	7,64,751	NIL
Accumulated Depreciation	2,47,028	NIL
Depreciation recognised in the Profit and Loss Account	12,466	NIL
22 a) Total of Research and Development Cost/Expenditure (Revenue).	71,70,561	36,23,568
b) Contribution to Provident and Other Funds (Schedule 'P') includes contribution for the year to Gratuity Funds covered under the master policies of Life Insurance Corporation of India.	44,00,920	9,97,052
c) Amount of Borrowing Cost capitalised	87,12,382	35,75,553
23 The net amount of (Loss)/Gain of exchange differences included in the Profit and Loss Account {Including unrealised foreign exchange differences (Net)}	(128,04,33,906)	46,32,62,831

24 Amount remitted during the year in Foreign Currencies on account of Dividends:

The Company has not made any remittance in foreign currencies on account of dividend and does not have information as to the extent to which remittance in foreign currencies on account of dividend has been made by or on behalf of the non-resident shareholders. The particulars of dividends paid to non-resident shareholders are as under :

	Current year		Previous Year
	2007-08 (1st Interim)	2007-08 (Final)	None
(a) Years to which dividends relate			
(b) Number of non-resident Shareholders	79	86	-
(c) Number of Shares held by them	41,25,195	43,02,430	-
(d) Amount in Rupees remitted to Banks/Addresses in India of the non-resident Shareholders	1,85,63,378	2,58,14,580	-

- 25 (a) As at 31st March, 2009, there are no Micro, Small and Medium Enterprises, as defined in the Micro, Small, Medium Enterprises Development Act, 2006, to whom the Company owes dues on account of principal amount together with interest and accordingly no additional disclosures have been made.
- (b) The above information regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the auditors.

26 Foreign Currency Convertible Bonds (FCCB)

- (a) The Company raised FCCB during the year 2005-06 aggregating to USD 40 million which included:
- Zero coupon 'Series A' bonds aggregating to USD 18 million, convertible at a price of Rs. 1,080 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD and,
 - 4.5% FCCB 'Series B' aggregating to USD 22 million with redemption premium of 1.5% p.a. payable on cumulative basis at the time of redemption i.e. on 31st December 2010, convertible at the option of bondholders at a price of Rs. 1,375 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD. If all these bonds are converted into shares, then the Share Capital of the Company will increase by 7,30,560 Equity Shares of Rs 10 each.
- (b) The 'Series A' bonds, during the year 2005-06 were subsequently converted into equity shares upon exercising the conversion right by the Bondholders.

The Company allotted them 7,60,999 shares of Rs.10 each at a pre-determined premium of Rs. 1,070 each.

27 Derivative Instruments

- (a) Hedging Contracts :

- The Company uses forward exchange contracts to hedge its exposure to foreign exchanges and the Company does not use such contracts for trading or speculation purpose.
- Derivative Instruments outstanding

Forward Exchange Contracts :

Particulars

Total No. of contracts outstanding for Amount

Receivable on account of Export of Goods

Foreign Currency Value covered

US Dollars

Euro

Current Year

Previous Year

184

41

1,45,22,042

1,24,02,043

1,24,73,350

1,05,95,073

- (b) Unhedged foreign currency exposure is as follows:

Amounts Payable :

Loans US Dollars:

Foreign Currency Convertible Bonds (FCCB)

Other Loans :

US Dollars

Euro

Interest US Dollars

Payables for goods and services ;

US Dollars

Euro

GBP

2,20,00,000

2,20,00,000

3,01,73,204

3,15,27,980

1,79,22,213

1,46,41,392

6,94,810

4,10,233

15,31,780

3,56,706

68,474

2,30,681

18,906

47,463

Amounts Receivable:

Export of Goods US Dollar

Advances :

US Dollar

Euro

GBP

Balance with Scheduled Banks

On Current Accounts:

US Dollar

Euro

NIL

NIL

13,33,040

65,39,240

522

1,00,980

2,03,688

33,917

5,54,985

90,213

89,673

5,86,861

28 Disclosures in accordance with revised accounting standard AS-15 on "Employee Benefits".

Defined benefit plans - As per actuarial valuations		Current year Rupees	Previous year Rupees
Sr. No.	Descriptions	Gratuity	Gratuity
i	Components of employer expenses Current Service Cost Interest Cost Expected Return on Plan Assets Actuarial-Loss (Net) Total Expenses recognised in the statement of Profit & Loss Account in Schedule 'P'	33,47,739 13,73,374 (5,46,526) 17,61,532 59,36,119	25,84,044 8,61,290 (4,99,598) 38,65,757 68,11,493
ii	Actual Contribution and Benefit Payments for year end Actual Benefit Payments Actual Contributions	(1,21,46,735) 44,00,920	(9,53,755) 9,97,052
iii	Net asset recognised in balance sheet at the year end Present Value of Defined Benefit Obligation Fair value of plan assets Net Liability recognised in balance sheet	2,17,65,652 98,94,861 1,18,70,791	1,71,67,172 68,31,580 1,03,35,592
iv	Reconciliation of Opening and Closing Balances of Defined Benefit Obligations (DBO) Present Value of DBO at the beginning of the year Present Value of DBO at the beginning of the year due to transfer out Current Service cost Interest cost Actuarial Loss Benefits paid Present Value of DBO at the end of the year	1,71,67,172 NIL 33,47,739 13,73,374 1,20,24,102 (1,21,46,735) 2,17,65,652	2,27,80,685 (1,20,14,557) 25,84,044 8,61,290 39,09,465 (9,53,755) 1,71,67,172
v	Reconciliation of Opening and Closing Balances of Fair Value of Plan Assets Plan assets at the beginning of the year Plan assets at the beginning of the year due to transfer out Actual return on plan assets Actual Company contributions Actuarial Gain on Plan Assets Benefits paid Plan assets at the end of the year	68,31,580 NIL 5,46,526 44,00,920 1,02,62,570 (1,21,46,735) 98,94,861	1,75,29,491 (1,12,84,514) 4,99,598 9,97,052 43,708 (9,53,755) 68,31,580
vi	Actuarial Assumptions Discount Rate Expected Return on plan Assets Salary escalation	8.00% 8.00% 4.50%	8.00% 8.00% 4.50%

a) Defined Contribution Plans-

The Company's contribution to defined contribution plans aggregating to **Rs.1,87,21,509** (Previous Year Rs.1,64,67,797) has been recognised in the statement of profit and loss account under the heading 'Contribution to Provident and Other Funds' (Schedule 'P').

b) The assumption of future salary increase, considered in actuarial valuation, takes into account of inflation and other relevant factors.

29 (a) Figures in brackets in Notes 9, 10,11,18, and 20 pertain to previous year.

(b) The Previous year figures have been re-arranged and/or regrouped wherever necessary to make them comparable.

Signature to schedules 'A' to 'R'

As per our report of even date attached
For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
 Partner

Mumbai,
 Dated: 16th May, 2009

VIPUL R. SHAH
 Company Secretary

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
 Dated: 16th May, 2009

CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH, 2009

A. CASH FLOW FROM OPERATING ACTIVITIES :

	Year Ended 31st March, 2009 Rupees	Year Ended 31st March, 2008 Rupees
Net profit before tax	107,88,30,953	163,91,81,453
Add/(Less): Excess/(Short) Provision for Expenses/ Income (Net)	60,14,612	(16,90,612)
Less: Extra ordinary Item	(25,15,075)	(109,42,828)
Net profit before adjustments :	108,23,30,490	162,65,48,013
Adjustment for :		
Depreciation and Amortisation	56,51,62,762	43,83,05,902
Income from Investments	(3,32,467)	(8,57,723)
Interest and Finance Charges	37,50,44,574	26,95,79,291
Interest Income	(66,26,762)	(14,40,638)
Loss on Sale of Fixed Assets (Net)	10,60,360	91,82,160
Unrealised Foreign Exchange difference (Loss)/Gain	38,50,26,005	(10,96,47,503)
Retiring Gratuities	59,36,119	68,11,493
Leave Encashment	60,73,937	68,74,160
Diminution in value of Current Investment	1,68,34,824	NIL
Withdrawal of Provision for doubtful Debts no longer required	NIL	(124,316)
Operating profit before working capital changes	134,81,79,352	61,86,82,826
Adjustment for:	243,05,09,842	224,52,30,839
Trade and other receivables	18,21,06,036	(84,88,38,808)
Inventories	64,22,24,155	(73,65,15,755)
Trade payables	(10,05,54,945)	29,41,23,817
Cash generated from operations	72,37,75,246	(129,12,30,746)
Direct taxes paid	315,42,85,088	95,40,00,093
Gratuity paid	(30,75,98,797)	(56,93,21,729)
Leave Encashment paid	(44,00,920)	(9,97,052)
Net cash from Operating Activities	(32,50,400)	(22,73,392)
	283,90,34,971	38,14,07,920

B. CASH FLOW FROM INVESTING ACTIVITIES :

Purchase of Fixed Assets & Capital Work in Progress	(125,03,01,252)	(163,74,34,616)
Sale of Fixed Assets	33,04,401	29,51,093
Purchase of Investments	(10,25,10,000)	(34,53,23,000)
Sale of Investments	10,44,86,600	2,65,65,052
Sale of Business Unit	NIL	30,00,00,000
Interest received	66,00,208	14,11,502
Income Received on Investments	2,19,956	1,55,221
Net cash used in Investing Activities	(123,82,00,087)	(165,16,74,748)

C. CASH FLOW FROM FINANCING ACTIVITIES :

Proceeds from / (Repayment of) Short Term Borrowings (Net)	(342,72,70,786)	108,34,59,884
Proceeds from Long Term Borrowings	415,65,96,399	123,13,52,832
Repayment of Long Term Borrowings	(168,39,20,118)	(75,66,57,054)
Dividend paid (including tax thereon)	(23,62,18,593)	32,93,700*
Interest and Finance Charges paid	(38,59,26,993)	(24,88,68,234)
Net Cash from Financing Activities	(157,67,40,091)	131,25,81,128
Net increase/(decrease) in cash and cash equivalent	2,40,94,793	4,23,14,300
Exchange difference on cash and cash equivalent - Loss/(Gain)	3,82,949	(60,86,428)
Cash and cash equivalent as at the beginning of the year	8,69,11,666	5,06,83,794
Cash and cash equivalent as at the end of the year	11,13,89,408	8,69,11,666

* Adjustment on account of Dividend accounts

Note :

Direct Taxes paid on income are treated as arising from Operating Activities and are not bifurcated between Investing and Financing Activities.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 16th May, 2009

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 16th May, 2009

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

I. Registration Details

Registration No. :

					1	2	1	8	5
--	--	--	--	--	---	---	---	---	---

 Balance Sheet Date :

3	1		0	3		2	0	0	9
---	---	--	---	---	--	---	---	---	---

State code :

1	1
---	---

II. Capital raised during the year (Amount in Rs. Thousands)

Public Issue

					N	I	L
--	--	--	--	--	---	---	---

Bonus Issue

					N	I	L
--	--	--	--	--	---	---	---

Rights Issue

					N	I	L
--	--	--	--	--	---	---	---

Private Placement

					N	I	L
--	--	--	--	--	---	---	---

III. Position of Mobilisation and Deployment of Funds (Amount in Rs. Thousands)

Total Liabilities

1	2	7	2	3	4	9	2
---	---	---	---	---	---	---	---

SOURCES OF FUNDS

Paid-up Capital

		1	9	3	3	1	7
--	--	---	---	---	---	---	---

Secured Loans

	3	3	1	0	9	0	5
--	---	---	---	---	---	---	---

Total Assets

1	2	7	2	3	4	9	2
---	---	---	---	---	---	---	---

Reserves & Surplus

	4	4	8	4	9	6	0
--	---	---	---	---	---	---	---

Unsecured Loans

	1	4	1	7	2	0	3
--	---	---	---	---	---	---	---

Deferred Tax Liability

		5	2	3	8	7	1
--	--	---	---	---	---	---	---

APPLICATION OF FUNDS

Net Fixed Assets

	6	0	9	2	7	2	0
--	---	---	---	---	---	---	---

Net Current Assets

	3	5	1	5	2	7	8
--	---	---	---	---	---	---	---

Accumulated Losses

					N	I	L
--	--	--	--	--	---	---	---

Investments

		3	2	2	2	5	8
--	--	---	---	---	---	---	---

Misc. Expenditure

					N	I	L
--	--	--	--	--	---	---	---

IV. Performance of Company

Turnover including Other Income

1	2	5	7	0	3	5	9
---	---	---	---	---	---	---	---

Profit before Tax

	1	0	7	8	8	3	1
--	---	---	---	---	---	---	---

Earning Per Share before Extra ordinary Item (Basic)

			3	6	.	4	9
--	--	--	---	---	---	---	---

Dividend Rate %

						6	0
--	--	--	--	--	--	---	---

Total Expenditure

1	1	4	9	1	5	2	8
---	---	---	---	---	---	---	---

Profit after Tax

		6	9	9	4	5	1
--	--	---	---	---	---	---	---

V. Generic Name of Principal Product of the Company

Item Code No. (ITC Code)

4	0	1	1	0	0										
---	---	---	---	---	---	--	--	--	--	--	--	--	--	--	--

Product Description

P	N	E	U	M	A	T	I	C		T	Y	R	E	S	
---	---	---	---	---	---	---	---	---	--	---	---	---	---	---	--

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

VIPUL R. SHAH

Company Secretary

Mumbai,

Dated: 16th May, 2009

Statement pursuant to Section 212 of the Companies Act, 1956, relating to Company's Interest in Subsidiary Company

Sr. No.	Name of the Subsidiary Company	Balkrishna Paper Mills Ltd.	Balkrishna Synthetic Ltd.	BKT EXIM Ltd.	BKT Tyres Ltd.	BKT (EUROPE) Ltd. (A Subsidiary Company of BKT EXIM Ltd.)	BKT Europe s.r.l. (A Subsidiary Company of BKT EXIM Ltd.)
1	Financial year of the subsidiary ended on	31 st March, 2009	31 st March, 2009	31 st March, 2009	31 st March, 2009	31 st March, 2009	31 st March, 2009
2	Shares of the subsidiary held by the company directly or through its subsidiary companies on 31st March, 2009	30,00,000 ordinary shares of Rs.10 each fully paid up	10,00,000 ordinary shares of Rs.10 each fully paid up	3,00,000 ordinary shares of Rs.10 each fully paid up	40,000 ordinary shares of Rs.10 each fully paid up	5,000 ordinary shares of Stg. Pound 1 each	10,000 Euro
		19,50,000 1%Optionally convertible Redeemable Preference Shares of Rs.10 each fully paid up	6,50,000 1%Optionally convertible Redeemable Preference Shares of Rs.10 each fully paid up	-	-	-	-
3	Extent of holding (%)	100%	100%	100%	80%	100%	100%
4	The net aggregate of profit/ (loss) for the current year of the Subsidiary so far as it concerns the members of the holding Company (Rs. in Crores)						
	Dealt with or provided for in the accounts of holding Company	-	-	-	-	-	-
	Not dealt with or provided for in the accounts of the holding Company (Rs. in Crores)	4.35	(0.06)	(0.03)	(0.01)	(0.03)	(0.08)
5	The net aggregate of profit/ (losses) for the previous year of the Subsidiary so far as it concerns the members of the holding Company						
	Dealt with or provided for in the accounts of holding Company						
	Not dealt with or provided for in the accounts of the holding Company (Rs. in Crores)	4.55	1.54	(0.02)	(0.01)	0.02	0.09
Details of Subsidiary Companies							
	Particulars	Amount (Rs. in Crores)					
1	Capital	4.95	1.65	0.30	0.05	0.04	0.06
2	Reserves	26.42	7.31	(0.05)	(0.01)	0.05	(0.02)
3	Total Assets (Net Fixed Assets + Investments + Current Assets)	47.66	24.16	0.25	0.04	0.19	1.43
4	Total Liabilities (Total Debts + Current Liabilities and Provisions)	16.39	15.20	0.00	0.00	0.09	1.39
5	Details of Investment	1.50	0.56	0.16	0.00	0.00	0.00
6	Turnover	116.42	33.19	0.00	0.00	0.68	4.89
7	Profit Before Tax	6.57	0.53	(0.03)	(0.01)	(0.02)	0.09
8	Provision for Tax	2.22	0.59	0.00	0.00	0.01	0.17
9	Profit/(Loss) After Tax	4.35	(0.06)	(0.03)	(0.01)	(0.03)	(0.08)
10	Proposed Dividend (On Preference Shares + Dividend Tax)	0.02	0.01	0.00	0.00	0.00	0.00

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

VIPUL R. SHAH
 Company Secretary
 Mumbai,
 Dated: 16th May, 2009

Auditors' Report on Consolidated Financial Statements

To the Board of Directors

BALKRISHNA INDUSTRIES LIMITED

1. We have audited the attached Consolidated Balance Sheet of Balkrishna Industries Limited (the Company) and its subsidiaries (collectively referred to as 'the Group'), as at 31st March, 2009 and also the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management and have been prepared by the management on the basis of separate financial statements and other financial information regarding components. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. (i) We did not audit the financial statements of the subsidiary, BKT (EUROPE) Ltd. (incorporated in UK), whose financial statements reflect total assets of Rs. 9,16,160 (net) as at 31st March, 2009, total revenue of Rs. 67,97,805 and net cash outflows amounting to Rs. 75,337 for the year ended on that date. These financial statements have been audited by other auditors whose report has been furnished to us and our opinion is based solely on the report of the other auditors.
- (ii) We did not audit the financial statements of the subsidiary, BKT Europe s.r.l (incorporated in Italy), whose financial statements reflect the total assets of Rs. 3,70,990 (net) as at 31st March 2009, total revenue of Rs. 4,89,44,867 and net cash inflows amounting to Rs. 25,71,146 for the year ended on that date. These financial statements have been certified by a Certified Public Accountant of Italy, whose certificate has been furnished to us and our opinion is based solely on the certificate of the said accountant.
4. We report that the consolidated financial statements have been prepared by the Company's management in accordance with the requirements of Accounting Standard (AS) 21, Consolidated Financial Statements, as notified under the Companies (Accounting standards) Rules, 2006.
5. Based on our audit and on consideration of the report of the other auditors and the certificate of the accountant, on separate financial statements and on other financial information of the components and to the best of our information and explanations given to us, we are of the opinion that the attached Consolidated Financial Statements give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (i) in the case of the Consolidated Balance Sheet, of the state of affairs of the Group as at 31st March, 2009;
 - (ii) in the case of the Consolidated Profit and Loss Account, of the profit of the Group for the year ended on that date; and
 - (iii) in the case of Consolidated Cash Flow Statement, of the cash flows of the Group for the year ended on that date.

FOR JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner
Membership No. 7860

Mumbai,
Dated: 16th May, 2009

CONSOLIDATED BALANCE SHEET

AS AT 31ST MARCH, 2009

	Schedule	Rupees	Current Year Rupees	Previous Year Rupees
I. SOURCES OF FUNDS				
1. SHAREHOLDERS' FUNDS :				
a) Capital	'A'	19,33,17,190		19,33,17,190
b) Reserves and Surplus	'B'	458,79,44,736		397,96,32,744
			478,12,61,926	417,29,49,934
2. MINORITY INTEREST			84,338	88,137
3. LOAN FUNDS :				
a) Secured Loans	'C'	341,11,50,556		361,61,74,714
b) Unsecured Loans	'D'	142,17,21,880		183,55,42,930
			483,28,72,436	545,17,17,644
4. DEFERRED TAX LIABILITY (NET) (Refer Note No. 10 in Schedule 'R')			54,56,71,892	44,20,81,747
TOTAL			<u>1015,98,90,592</u>	<u>1006,68,37,462</u>
II. APPLICATION OF FUNDS				
1. FIXED ASSETS :	'E'			
a) Gross Block		772,13,51,466		600,04,65,118
b) Less : Depreciation		208,06,80,733		149,34,43,911
c) Net Block		564,06,70,733		450,70,21,207
d) Capital Work-in-Progress		81,52,30,762		131,90,22,364
			645,59,01,495	582,60,43,571
2. GOODWILL (On Consolidation)			5,99,090	5,99,090
3. INVESTMENTS	'F'		3,94,25,538	3,89,96,659
4. CURRENT ASSETS, LOANS AND ADVANCES :				
a) Inventories	'G'	133,25,66,211		200,55,33,188
b) Sundry Debtors	'H'	220,75,12,575		207,86,42,305
c) Cash and Bank Balances	'I'	11,69,82,109		10,29,76,171
d) Other Current Assets	'J'	23,22,034		17,02,969
e) Loans and Advances	'K'	287,27,23,303		300,82,19,935
		653,21,06,232		719,70,74,568
Less : CURRENT LIABILITIES AND PROVISIONS :				
a) Liabilities	'L'	87,57,74,739		121,19,65,687
b) Provisions	'M'	199,23,67,024		178,39,10,739
		286,81,41,763		299,58,76,426
NET CURRENT ASSETS			366,39,64,469	420,11,98,142
TOTAL			<u>1015,98,90,592</u>	<u>1006,68,37,462</u>

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS

'R'

The Schedules referred to above form an integral part of the Balance Sheet.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 16th May, 2009

Mumbai,
Dated: 16th May, 2009

CONSOLIDATED PROFIT & LOSS ACCOUNT



FOR THE YEAR ENDED 31ST MARCH, 2009

	Schedule	Current Year Rupees	Previous Year Rupees
INCOME :			
Sales and Related Income	'N'	1417,06,21,970	1159,35,05,370
Less: Excise Duty Recovered on Sales		17,19,74,425	25,66,35,080
		1399,86,47,545	1133,68,70,290
Other Income	'O'	6,44,92,725	16,31,32,549
		1406,31,40,270	1150,00,02,839
EXPENDITURE :			
Manufacturing, Trading and Other Expenses	'P'	1195,18,95,416	907,54,61,427
Interest and Finance Charges	'Q'	38,35,27,746	27,62,76,036
Depreciation and Amortisation		58,62,52,557	45,56,19,145
		1292,16,75,719	980,73,56,608
		114,14,64,551	169,26,46,231
Add : Exceptional Item (Refer Note No. 5 in schedule 'R')		84,37,445	4,07,15,797
PROFIT BEFORE TAX		114,99,01,996	173,33,62,028
Less : Provision for Taxation			
- Current Tax		29,44,22,827	51,25,69,012
- Deferred Tax (Net)		10,35,90,145	8,49,99,646
- Fringe Benefit Tax		1,13,40,000	58,60,000
PROFIT AFTER TAX		74,05,49,024	112,99,33,370
Add/(Less): Adjustments relating to earlier years			
Short Provision for Income/(Expenses) (Net)		59,77,112	(16,90,612)
Add: Minority Interest Loss		3,799	11,863
Profit before Extra ordinary Item		74,65,29,935	112,82,54,621
Less : Extra ordinary Item (Refer Note No.6 in schedule "R")		25,15,075	1,09,42,828
Profit after Extra ordinary Item		74,40,14,860	111,73,11,793
Balance Brought Forward From Last Year		64,78,42,959	26,80,23,863
PROFIT AVAILABLE FOR APPROPRIATION		139,18,57,819	138,53,35,656
APPROPRIATIONS :			
Transfer to General Reserve		49,46,08,660	50,00,00,000
Interim Dividend		NIL	8,69,92,736
Proposed Final Dividend		11,59,90,314	11,59,90,314
Tax on Dividends		1,97,12,554	3,45,09,647
		63,03,11,528	73,74,92,697
Balance Carried to Balance Sheet		76,15,46,291	64,78,42,959
		139,18,57,819	138,53,35,656
Earning Per Share before Extra ordinary item			
- Basic		38.62	58.36
- Diluted		38.96	57.52
Earning Per Share after Extra ordinary item			
- Basic		38.49	57.80
- Diluted		38.84	56.98

(Refer Note No.12 in Schedule 'R')

ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS 'R'

The Schedules referred to above form an integral part of the Profit and Loss Account.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 16th May, 2009

Mumbai,
Dated: 16th May, 2009

CONSOLIDATED SCHEDULES

SCHEDULES ANNEXED TO AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2009 AND CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED ON THAT DATE

	Rupees	Current Year Rupees	Previous Year Rupees
SCHEDULE 'A'			
SHARE CAPITAL:			
Authorised :			
2,50,00,000 Equity Shares of Rs.10 each		<u>25,00,00,000</u>	<u>25,00,00,000</u>
Issued and Subscribed :			
1,93,31,719 Equity Shares of Rs.10 each, fully paid up		<u>19,33,17,190</u>	<u>19,33,17,190</u>
		<u>19,33,17,190</u>	<u>19,33,17,190</u>
(Of the above Shares :			
i) 1,68,73,160 Equity Shares were allotted as fully paid up, by way of Bonus Shares by capitalisation of Share Premium Account and General Reserve.			
ii) 97,560 Equity Shares were allotted as fully paid up on conversion of convertible portion of partly convertible Debentures.			
iii) 7,60,999 Equity Shares were allotted as fully paid up on conversion of Foreign Currency Convertible Bonds-FCCB.)			
SCHEDULE 'B'			
RESERVES AND SURPLUS:			
Capital Reserves			
Capital Incentive Reserve :			
As per last Balance Sheet	<u>45,00,000</u>		<u>45,00,000</u>
Capital Profit Reserve :			
As per last Balance Sheet	<u>NIL</u>		<u>2,32,22,096</u>
Less: Transferred to General Reserve	<u>NIL</u>		<u>2,32,22,096</u>
	<u>NIL</u>		<u>NIL</u>
Capital Surplus Reserve :			
As per last Balance Sheet	<u>5,65,55,817</u>		<u>5,65,55,817</u>
		<u>6,10,55,817</u>	<u>6,10,55,817</u>
Share Premium Account :			
As per last Balance Sheet	<u>71,53,42,628</u>		<u>89,04,64,130</u>
Less: Adjustment pursuant to transfer of business under court approved scheme	<u>NIL</u>		<u>17,51,21,502</u>
		<u>71,53,42,628</u>	<u>71,53,42,628</u>
General Reserve :			
As per last Balance Sheet	<u>255,53,91,340</u>		<u>203,86,93,500</u>
Less: Adjustment for Employee Benefits Provision	<u>NIL</u>		<u>65,24,256</u>
Add : Transferred from Capital Profit Reserve	<u>NIL</u>		<u>2,32,22,096</u>
Add : Transferred from Profit and Loss Account	<u>49,46,08,660</u>		<u>50,00,00,000</u>
		<u>305,00,00,000</u>	<u>255,53,91,340</u>
Surplus in Profit and Loss Account		<u>76,15,46,291</u>	<u>64,78,42,959</u>
		<u>458,79,44,736</u>	<u>397,96,32,744</u>

SCHEDULE 'C'

SECURED LOANS :

Working Capital Loans

From Banks

Term Loans

From Banks

From Others

(Refer Note No.4 in Schedule 'R')

SCHEDULE 'D'

UNSECURED LOANS :

Fixed Deposits

Short Term Loans and Advances :

i) From Banks

ii) Commercial Paper

(Maximum Amount outstanding during the year

Rs. 37,76,10,160 ; Previous Year Rs.37,76,10,160)

iii) Distributors' /Dealers' Deposits

iv) 8.60% Redeemable Non Convertible Debenture
of the face value of Rs.10,00,00,000

Other Loans and Advances :

i) 4.5% Foreign Currency Convertible Bonds 'Series B'
(Refer Note No. 17 in Schedule 'R')

ii) Distributors'/Dealers' Deposits

iii) Deferred Sales Tax under the scheme of
Government of Maharashtra

iv) Inter Corporate Loan

Rupees	Current Year Rupees	Previous Year Rupees
	323,65,74,241	327,97,18,522
8,84,15,323		21,31,25,000
8,61,60,992		12,33,31,192
	17,45,76,315	33,64,56,192
	341,11,50,556	361,61,74,714
	NIL	15,50,000
26,31,07,556		42,84,08,571
NIL		37,76,10,160
2,20,18,841		NIL
NIL		10,00,00,000
	28,51,26,397	90,60,18,731
112,09,00,000		87,93,40,000
NIL		2,12,98,884
1,56,95,483		1,23,35,315
NIL		1,50,00,000
	113,65,95,483	92,79,74,199
	142,17,21,880	183,55,42,930

SCHEDULE 'E'

GROSS BLOCK (AT COST)					DEPRECIATION (INCLUDING AMORTISATION)				NET BLOCK	
FIXED ASSETS	AS AT 01-04-2008	ADDITIONS DURING THE YEAR	DEDUCTIONS DURING THE YEAR	AS AT 31-3-2009	TOTAL UP TO 31-03-2008	FOR THE YEAR	DEDUCTIONS DURING THE YEAR	TOTAL UP TO 31-03-2009	AS AT 31-03-2009	AS AT 31-03-2008
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Freehold Land	25,17,498	3,65,15,678	NIL	3,90,33,176	NIL	NIL	NIL	NIL	3,90,33,176	25,17,498
Leasehold Land	7,69,71,741	18,74,041	NIL	7,88,45,782	29,52,696	8,50,843	NIL	38,03,539	7,50,42,243	7,48,44,839
Buildings and Roads	88,85,58,413	15,79,28,343	NIL	104,64,86,756	6,55,17,745	2,80,35,706	NIL	9,35,53,451	95,29,33,305	64,19,97,098
Plant And Machinery	452,00,88,323	138,54,75,004	19,24,542	590,36,38,785	132,25,92,637	52,34,10,549	4,84,798	184,55,18,388	405,81,20,397	293,91,11,681
Factory, Office And Other Equipments	22,22,19,893	8,94,42,174	9,63,842	31,06,98,225	5,07,74,487	1,64,48,851	2,48,176	6,69,75,162	24,37,23,063	13,97,18,581
Electric Installations	18,39,25,009	2,82,68,577	9,95,651	21,11,97,935	2,88,14,213	1,00,63,718	26,611	3,88,51,320	17,23,46,615	14,01,75,890
Furniture And Fixtures	4,48,92,778	1,13,44,666	13,629	5,62,23,815	1,04,66,013	38,22,784	10,518	1,42,78,279	4,19,45,536	3,03,90,561
Vehicles	2,89,16,828	1,11,40,776	52,47,077	3,48,10,527	54,22,503	29,61,641	22,31,290	61,52,854	2,86,57,673	1,80,13,659
Air Conditioners	74,66,628	17,50,666	1,30,145	90,87,149	10,51,172	4,03,510	21,153	14,33,529	76,53,620	50,84,284
Intangible Assets - Computer Software	2,49,08,005	64,21,311	NIL	3,13,29,316	58,52,443	42,61,768	NIL	1,01,14,211	2,12,15,105	27,91,477
Current Year Total	600,04,65,116	173,01,61,236	92,74,886	772,13,51,466	149,34,43,909	59,02,59,370*	30,22,546	208,06,80,733	564,06,70,733	-
Previous Year Total	564,45,38,412	147,58,59,864	111,99,33,158	600,04,65,118	164,98,92,844	45,96,49,078	61,60,98,011	149,34,43,911	-	450,70,21,207
Capital Work In Progress (Including capital advances of Rs.21,41,89,931; Previous year Rs. 43,70,24,420)									81,52,30,762	131,90,22,364

* Including depreciation capitalised **Rs. 40,06,813** (Previous year Rs. 40,29,933); and is net of excess Depreciation of **Rs. 7,23,058** of earlier year (Previous Year including Rs. 10,34,438 short depreciation of earlier years)

Freehold Land of **Rs. 12,29,025** (Previous Year Rs. 12,29,025) is acquired on the basis of purchase agreements. The transfer of the title deeds / conveyance in the name of the Company is yet to be completed.

SCHEDULE 'F'**INVESTMENTS :**

Other Than Trade (unless otherwise stated) :

(Fully paid up)

LONG TERM INVESTMENTS (At Cost) :

Unquoted :

55,657 Equity Shares of Tarapur Environment Protection Society of Rs.100 each (42,387 shares purchased during the year (Trade)

55,65,700

13,27,000

Investment in VS Lignite Power Private Limited (Trade) :

5,77,777 Class 'A' Equity Shares of Rs.10 each

57,77,770

57,77,770

11,14,223 Class 'A' 0.01% Cumulative Redeemable

Preference Shares of Rs. 10 each

1,11,42,2301,11,42,230**1,69,20,000**1,69,20,000

In Government Securities :

6 Year National Savings Certificates (Purchased during the Year **Rs. 10,000** ; Previous Year Rs.3,000)

23,000

16,000

(Matured during the Year **Rs. 3,000** ; Previous Year Rs. NIL)**2,25,08,700**1,82,63,000**Quoted :**

In Trust Securities :

19,836 - 6.75% Tax Free US64 Bonds of the

Face Value Rs.100 each (Matured during the year)

NIL

19,83,600

In Equity Shares:

4,98,759 Equity Shares of Govind Rubber Limited of Rs. 10 each

1,87,50,059

1,87,50,059

Less: Provision for Diminution in value

1,68,34,824NIL**19,15,235**1,87,50,059**19,15,235**2,07,33,659**2,44,23,935**3,89,96,659

CURRENT INVESTMENTS [(At Lower of Cost and Fair (Market) Value)] :

Unquoted :

In Mutual Fund :

822988.724 Units of the face value of Rs. 10 each of 'UTI Money Market

Fund-Daily Dividend' (Purchased during the year)

1,50,01,603

NIL

(Refer Note No. 9 in Schedule 'R')

3,94,25,5383,89,96,659

SCHEDULE 'G'

INVENTORIES :

(As certified by the Management)

(At lower of Cost and Net Realisable Value)

	Rupees	Current Year Rupees	Previous Year Rupees
Stores and Spares Parts		13,87,06,567	9,84,36,224
Packing Materials and Fuel		1,49,41,975	1,97,98,191
Stock-in-Trade :			
Raw Materials	58,47,37,391		133,78,43,918
Finished Goods	40,72,38,370		37,96,46,227
		99,19,75,761	171,74,90,145
Work-in-Process		18,69,41,908	16,98,08,628
		133,25,66,211	200,55,33,188

SCHEDULE 'H'

SUNDRY DEBTORS - (UNSECURED) :

Debts outstanding for a period exceeding six months:

Considered Good	1,51,11,885		1,30,39,889
Considered Doubtful	76,39,577		76,94,172
		2,27,51,462	2,07,34,061
Other Debts - Considered Good		219,24,00,690	206,56,02,416
		221,51,52,152	208,63,36,477
Less : Provision for Doubtful Debts		76,39,577	76,94,172
		220,75,12,575	207,86,42,305

SCHEDULE 'I'

CASH AND BANK BALANCES :

Cash Balance on Hand		41,44,426	19,72,611
Bank Balances :			
With Scheduled Banks on :			
Current Accounts	8,67,63,831		8,90,70,547
Unpaid/Unclaimed Dividend Accounts	71,33,033		58,71,607
Fixed Deposits	25,000		9,99,859
(Including Deposit Receipt lodged with Government Authorities Rs. 25,000 ; Previous year Rs. 25,000)			
Margin Accounts (Including Fixed Deposits of Rs.1,52,68,188 ; Previous year Rs. 38,51,590)	1,52,68,188		39,09,725
(Deposits against Guarantees/Letters of Credit)	10,91,90,052		9,98,51,738
With Others Banks: On Current Account			
Llyods TSB Bank Plc	NIL		3,15,633
(Maximum balance outstanding at any time during the year Rs.13,78,106 (Previous year Rs.14,51,616)			
HSBC Bank Plc	2,40,296		NIL
(Maximum balance outstanding at any time during the year Rs.9,67,573 (Previous year Rs.NIL)			
Deutsche Bank - S.p.A.	34,07,335		8,36,189
(Maximum balance outstanding at any time during the year Rs.1,19,14,322 (Previous year Rs.51,21,606)	36,47,631		11,51,822
		11,28,37,683	10,10,03,560
		11,69,82,109	10,29,76,171

SCHEDULE 'J'**OTHER CURRENT ASSETS:****Interest Accrued On**

- Investments
- Others

SCHEDULE 'K'**LOANS AND ADVANCES:**

(Unsecured - Considered Good)

Advances recoverable in cash or in kind or for value to be received

Deposits against payment of Excise Duty

Advance payment of Taxes and Tax Deducted at source

Loans and Advances to Employees

SCHEDULE 'L'**CURRENT LIABILITIES:**

Acceptances

Sundry Creditors

- i) Outstanding Dues of Micro and Small Enterprises #
- ii) Outstanding Dues of Creditors other than Micro and Small Enterprises *

Investor Education and Protection Fund : Unclaimed Dividends
(No amount is due and outstanding to be credited to the Fund)

Credit Balance in Bank Account (As per books of account)

Other Liabilities

Interest accrued but not due on Loans

#(Refer Note No.20 in Schedule 'R')

* Includes Due to Directors **Rs.88,50,854**

(Previous year Rs.64,76,880)

SCHEDULE 'M'**PROVISIONS :**

Taxation

Interim Dividend

Proposed Final Dividend

Tax on Dividends

Employee Benefits (Net)

SCHEDULE 'N'**SALES AND RELATED INCOME :**

Sales

Export Incentives

Processing/ Job Charges

Rupees	Current Year Rupees	Previous Year Rupees
	7,687	80,585
	23,14,347	16,22,384
	23,22,034	17,02,969
	91,93,76,895	139,38,22,764
	1,96,738	3,02,605
	194,74,29,233	161,08,34,260
	57,20,437	32,60,306
	287,27,23,303	300,82,19,935
	15,74,01,610	9,38,44,220
NIL		NIL
62,81,81,486	62,81,81,486	100,86,37,149
	71,33,033	58,71,607
	5,01,565	66,99,316
	5,43,37,961	5,78,11,892
	2,82,19,084	3,91,01,503
	87,57,74,739	121,19,65,687
	182,24,74,437	151,95,76,952
	NIL	8,69,92,736
	11,59,90,314	11,59,90,314
	1,97,12,554	3,45,09,647
	3,41,89,719	2,68,41,090
	199,23,67,024	178,39,10,739
	1350,83,07,564	1114,67,88,335
	33,52,67,055	13,42,05,432
	32,70,47,351	31,25,11,603
	1417,06,21,970	1159,35,05,370

SCHEDULE 'O'

OTHER INCOME:

Income from Investments (Gross):	
Long Term Investments :	
Profit on sale of Long Term Investments in Subsidiaries	NIL
Interest (Other than Trade)	935
Current Investments : Dividend (Other than Trade)	1,22,888

Unrealised Foreign Exchange Differences (Net)	
Withdrawal of Provision for Doubtful Debts no longer required	
Miscellaneous Income	4,88,47,251
Interest Subsidy from Government of Rajasthan	28,72,145
Interest on outstanding Debts, Loans and Advances (Tax Deducted at source Rs. 12,13,204 Previous Year Rs.16,33,493)	1,25,94,911

SCHEDULE 'P'

MANUFACTURING, TRADING AND OTHER EXPENSES:

Purchase of Traded Goods	11,19,81,079	8,68,37,546
Raw Materials Consumed	802,34,46,466	643,73,72,738
Stores and Spare Parts Consumed	36,07,50,439	26,33,65,968
Packing Expenses	3,04,75,173	3,11,45,302
Power and Fuel	81,03,99,722	75,23,27,445
Excise Duty on variation of Stock of Finished Goods	(24,83,109)	(5,08,415)
Labour/Job Charges	24,35,53,912	20,14,36,603
Water Charges	1,22,02,046	1,57,44,564
Freight and Forwarding	87,79,14,496	73,93,12,857
Salaries, Wages and Bonus	40,75,28,114	33,22,63,083
Contribution to Provident and Other Funds	3,04,06,124	2,08,95,150
Workmen and Staff Welfare Expenses	86,57,572	77,18,308
Repairs and Maintenance of :		
Plant and Machinery	6,60,44,162	3,13,35,967
Buildings	3,51,14,305	1,45,28,799
Others	2,51,88,090	1,31,59,941
Insurance Charges (Net)	12,63,46,557	5,90,24,707
Rates and Taxes	1,68,84,717	2,59,25,538
Rent/Lease Rent	1,44,23,741	97,09,505
Legal and Professional Charges	3,09,82,651	1,98,10,903
Advertisement, Publicity and Sales Promotion	6,88,90,128	5,60,29,585
Commission and Brokerage on Sales	13,92,04,233	6,14,00,351
Discount	1,22,77,639	98,65,664
Traveling and Conveyance	73,23,508	28,33,318
Directors' Meeting Fees	4,99,56,332	3,89,34,804
Provision for Diminution in value of Long Term Investment	5,57,500	3,87,500
Fixed Assets Discarded/ Written off	1,68,34,824	NIL
Loss on Sale of Fixed Assets (Net)	5,57,473	1,86,609
Unrealised Foreign Exchange Differences (Net)	2,68,547	57,22,587
Miscellaneous Expenses	38,69,99,436	NIL
(INCREASE) IN STOCKS:	21,02,81,519	9,15,99,847
Opening Stock :		
Work-in-Process	16,98,08,628	15,59,43,593
Finished Goods	37,96,46,227	19,96,30,622
	54,94,54,855	35,55,74,215
Less :		
Closing Stock :		
Work-in-Process	18,69,41,908	16,98,08,628
Finished Goods	40,72,38,370	37,96,46,227
	59,41,80,278	54,94,54,855
	(4,47,25,423)	(19,38,80,640)
	1195,18,95,416	907,54,61,427

SCHEDULE 'Q'

INTEREST AND FINANCE CHARGES:

Interest

On Debenture and Fixed Loans

To Others

Finance Charges

Rupees	Current Year Rupees	Previous Year Rupees
32,12,36,922		26,92,08,675
62,55,017		70,67,361
	32,74,91,939	27,62,76,036
	5,60,35,807	NIL
	38,35,27,746	27,62,76,036

SCHEDULES "R"

ACCOUNTING POLICIES AND NOTES TO THE CONSOLIDATED ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation of consolidated financial statements

The consolidated financial statement relates to Balkrishna Industries Limited (the Company) and its subsidiaries. The Company and its Subsidiaries constitute the Group. The accounts have been prepared in accordance with historical cost convention and on accrual basis.

Principles of consolidation

The consolidated financial statements are prepared in accordance with the principles and procedures required for the preparation and presentation of consolidated financial statements as laid down under the Accounting Standard (AS 21) – 'Consolidated Financial Statements', as notified under the Companies (Accounting Standards) Rules, 2006.

The financial statement of the Company and its subsidiaries have been combined on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses after eliminating intra group balances/ transactions and unrealised profits or losses .

All intra-group transactions have been entered at common rates.

The excess of cost of investments in the Subsidiary Companies over the Company's portion of equity of the Subsidiary at the date of investment made is recognised in the financial statements as goodwill. The excess of Company's portion of equity of the Subsidiaries over the cost of the investment there in is treated as Capital Reserve.

Minority interest in the net assets of Subsidiary consist of the amount of equity attributable to the minority shareholders at the date on which investment is made by the Company in the Subsidiary Company and further movements in their share in the equity, subsequent to the date of investment as stated above.

The consolidated financial statements are prepared by using uniform accounting policies for like transactions and other events in similar circumstances are presented to the extent possible, in the same manner as in the Company's separate financial statements unless stated otherwise.

The following subsidiary Companies are considered in the consolidated financial statement.

Sr. No.	Name of the Subsidiary Company	Country of Incorporation	% of holding either directly or through subsidiary in the Current and Previous Year
	Direct Subsidiaries		
1.	Balkrishna Paper Mills Limited	India	100%
2.	Balkrishna Synthetics Limited	India	100%
3.	BKT Exim Limited	India	100%
4.	BKT Tyres Limited	India	80%
	Indirect Subsidiaries		
5.	BKT (EUROPE) Limited	U.K.	100%
6.	BKT Europe s.r.l	Italy	100%

Use of Estimates

The presentation of financial statements in conformity with the generally accepted accounting principles requires estimates and assumptions to be made that affect the reported amounts of assets and liabilities on the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Difference between the actual and estimates are recognised in the period in which the results are known/materialised.

Fixed Assets

- a) Fixed Assets are stated at cost less depreciation. Cost comprises of purchase price and attributable expenses (including financing charges) and is net of permissible credits/set offs.
- b) Expenditure (including financing charges) incurred for fixed assets, the construction / installation/acquisition of which is not completed, is included under the Capital Work-in-Progress and the same is related/classified to the respective fixed assets on the completion.

Depreciation/Amortisation

- a) In respect of the Company and its subsidiaries in India :
 - i) Depreciation on Fixed Assets (Other than leasehold land) has been provided for in accordance with schedule XIV to the Companies Act, 1956 on Straight Line Method. In respect of fixed assets whose actual cost does not exceed five thousand rupees, depreciation at the rate of 100 percent, irrespective of the date of addition during the year.
 - ii) Premium on Leasehold Land is amortised over the duration of the Lease.
- b) In respect of overseas subsidiaries, depreciation has been provided by the overseas subsidiaries as per the methods and at the rates required/permissible by the local laws so as to write off assets over their useful lives.

Investments

Investments are valued at cost plus attributable expenses of acquisition and are classified as Long Term Investments and Current Investments (investments intended to be held for not more than one year). Long Term Investments are stated at cost. However, where there is a diminution, other than temporary, in the value of a long-term investment, necessary provision is made to recognise the decline. Current Investments are stated at lower of cost and fair value, computed on individual investment basis.

Valuation of Inventories

Inventories are valued at lower of the cost and net realisable value. Cost of inventories is computed on moving weighted average basis by the Company and one of the Subsidiaries – Balkrishna Synthetics Limited (In case of other Subsidiary Companies, the cost is computed on First in First Out basis). Cost comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Sales-Processing/Job Charges

Sales are inclusive of Excise Duty but excluding Value Added Tax/Central sales tax and are net of Trade Discounts, Rebates and Incentives. Processing charges are excluding Excise Duty, as the concerned subsidiary is not liable to pay the duty and the same is borne by the Customer.

Export Benefits

Consumption of Raw Materials is arrived at after adjusting the difference between the cost of indigenous/duty paid imported raw materials and international cost of raw materials entitled to be imported/imported under Duty Exemption Scheme of the Government of India against direct/indirect exports made/to be made by the Company during the year. Export Incentives under Duty Entitlement Pass Book Scheme and Focus Market Scheme under EXIM policy/ Foreign Trade Policy are accounted for in the year of export. Profit/Loss on sale of DEPB/Import licenses is accounted for in the year of such sale.

Foreign Exchange Transactions

Transactions in foreign currencies are accounted at the exchange rates prevailing on the day of the transaction. Gains and losses arising out of subsequent fluctuations are accounted on actual payment/realisation. Monetary items related to foreign currency transactions, remaining unsettled at the end of the year are adjusted at the rates prevailing at the year end or are stated at the amounts likely to be realised or required to be disbursed, except for those considered doubtful of recovery. The exchange fluctuation arising on account of such adjustments are dealt in Profit and Loss Account. Non-monetary items are reported by using the exchange rate at the date of transaction.

The Company enters into Forward Contracts to hedge its Foreign Currency Exposures. Premium/ Discount in respect of outstanding forward contracts at the year end are amortized as expense or income over the life of the contract.

Employee Benefits:

- (1) In respect of the Company and its subsidiaries in India:

A) Short-term employee benefits:

Short-term employee benefits consisting of wages, salaries, social security contributions, ex-gratia and accrued leave are recognised in the year to which it relates.

B) Post employment benefits:

- i) Benefits in the nature of contribution to provident fund, superannuation scheme, employee state insurance scheme etc. provided by the company to the employees have been identified as defined contribution plans in terms of provisions of AS-15 on "Employee Benefits" where the obligation of the company is limited to a pre-agreed amount as fixed by the administrator of those plans. Such contributions are recognised in the year to which they relate.
- ii) Benefit in the nature of gratuity paid by company to the employees has been identified as defined benefit plan in terms of provisions of AS-15 on "Employee Benefits". The gratuity scheme in respect of the employees of the company is administered through Life Insurance Corporation of India (LIC). Annual contributions as determined by LIC are charged to Profit and Loss Account. The liability of the company is also determined through actuarial valuation technique at Balance Sheet date and the additional liability, if any, arising out of the difference between the actuarial valuation and the plan assets as at the Balance Sheet date is provided for at the year end.

(2) In respect of overseas subsidiaries the benefits are paid/provided as per the requirement of local laws .

Research and Development

Revenue expenditure on Research and Development is charged to Profit and Loss Account as incurred. Capital expenditure on assets acquired for Research and Development is added to Fixed Assets.

Government Grants

Special Capital Incentive received from the Government for setting up/expansion of an industrial undertaking in underdeveloped area of the State, is credited to Capital Reserve (Capital Incentive Reserve). Government grants/subsidy related to specific fixed assets is reduced from the cost of the asset concerned.

Borrowing Cost

Borrowing costs directly attributable to the acquisition/construction/installation of fixed assets are capitalised as part of the cost of the assets up to the date the assets are put to use. Other borrowing costs are charged to Profit and Loss Account.

Taxation

- a) Provision for current tax is made and retained in the accounts on the basis of estimated tax liability as per the applicable provisions of the respective taxation laws.
- b) Deferred tax assets and liabilities are recognised for timing differences between the accounting and taxable income, based on tax rates that have been enacted or substantively enacted by the Balance Sheet date. Deferred tax assets, subject to the consideration of prudence, are recognised only if there is reasonable certainty that sufficient future taxable income will be available, against which they can be realised. At each Balance Sheet date, the carrying amount of deferred tax assets is reviewed to reassure its realisation.
- c) Deferred tax at overseas subsidiaries is provided at appropriate rates on all timing differences using the liability method only to the extent that, in the opinion of the Management, there is a reasonable probability that a liability or asset will crystallise in the foreseeable future.

Leases

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis. Assets leased out under operating lease are capitalised, depreciation thereon is provided in the books and rental income is recognised on accrual basis over the lease term. Assets leased out are stated at original cost and the depreciation thereon is provided in the books

Impairment

The carrying amount of an asset is reviewed at each Balance Sheet date for any indication of impairment based on internal/external factors. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value at the weighted average cost of capital.

Provisions, Contingent Liabilities and Contingent Assets

A provision is made based on a reliable estimate when it is probable that an outflow of resources embodying economic benefit will be required to settle an obligation. Contingent Liabilities, if material, are disclosed by way of notes to the accounts. Contingent Assets are not recognised or disclosed in the financial statements.

B. NOTES TO CONSOLIDATED ACCOUNTS :

1 Changes in Accounting Policy

During the year, one of the Subsidiaries (Balkrishna Synthetics Ltd.) has implemented new ERP system (SAP) with effect from 1st April 2008. Consequently the cost of raw materials, packing materials, fuels, stores & spares and work-in-progress have been determined on moving weighted average cost basis instead of FIFO basis as was being done in the previous year. As a result, the profit for the year, before tax, is lower by Rs. 3,68,401.

2 Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advances)

3 Contingent Liabilities in respect of:

- Guarantees given by the Company's bankers on behalf of the Company against the Company's indemnity
- Premium payable on redemption of Foreign Currency Convertible Bonds 'Series B'
- Disputed claims for excise, sales tax, service tax and textile committee cess
- Disputed income tax demands
- Other claims against the Company not acknowledged as debts (Workmen and other business claims)

Current Year Rupees	Previous Year Rupees
74,44,38,968	75,49,08,603
13,80,42,964	7,67,96,937
5,72,07,934	3,12,20,887
27,35,32,454	16,68,68,489
15,23,86,857	17,16,36,385
4,56,63,403	12,00,76,752

(The outflow in respect of contingent liabilities is totally uncertain as the same depends on the final outcome of the disputes, wherever applicable)

4 Nature of security in respect of "Secured Loans"

I Working Capital Loans from Banks :

Cash Credits, Packing Credit, Bills Discounting, Working Capital Demand Loan and Buyers Credit :

Secured by first charge by way of hypothecation of stock of raw materials, stores and spares, stock in process, finished goods, material in transit, book debts and other movables on pari-passu basis and further secured by second charge on fixed assets both present and future, except certain fixed assets on which exclusive charge has been created in favour of G.E. Capital Services India and Axis Bank Limited.

II Term Loan from Bank:

Axis Bank Limited

Rs.4,69,15,323 is secured by exclusive first charge on the textile machineries acquired out of the proceeds of the said loan. Further to be Secured by first pari passu charge on Land and Factory Building, Plant and Machinery and all other movable assets, present and future, of textile processing unit.

In the previous year, secured by pari-passu first charge on the entire fixed assets of the Company situated at Bhiwadi unit, Chopanki unit and Wind farm at Jaisalmer, all in the state of Rajasthan, and further secured by second charge on entire current assets of the Company, both present and future.

Corporation Bank

Rs.4,15,00,000 is secured by exclusive first charge by way of hypothecation of inventory and receivables of textile processing unit and to be Secured by first pari passu charge on Land and Factory Building, Plant and Machinery and all other movable assets, present and future, of the said unit.

III Term Loan from Others:

- DEG - Deutsche Investitions-und Entwicklungsgesellschaft mbH Secured by pari-passu first charge on entire fixed assets of the Company, situated at Bhiwadi unit, Chopanki unit and Wind farm at Jaisalmer all in the state of Rajasthan.

- G.E. Capital Services India

Secured by exclusive first charge by way of hypothecation of specific machineries purchased out of the proceeds of the said loan.

5 Exceptional Item :

- Exceptional item represents VAT Credit receivable for earlier years due to retrospective amendment during the current year in Maharashtra Value Added Tax Rules, 2005.
- In the Previous year, an amount of Rs. 2,80,48,575 was received from insurance company against loss of profit (LOP) policy due to reduction in production caused by fire in the Company's Aurangabad Tyre Plant during March 2007 and an amount of Rs. 1,26,67,222 net of book balance, received from insurer towards the replacement cost of fixed assets, destroyed by floods/rains at Ambivali Paper plant in the earlier year.

- 6 Extra Ordinary Item represents the difference between the actual payment and provision of Rs. 98,00,000 made in previous year, included along with other expenses incurred , on account of stamp duty payable on transfer of assets of erstwhile Paper and Textiles Processing Divisions of the Company to two separate wholly owned subsidiary Companies.

7 Managerial Remuneration

- a) To Managing Director, Executive Directors and Whole Time Directors

	Current Year Rupees	Previous Year Rupees
Salaries	2,65,98,234	2,00,20,476
Commission	78,58,064	48,00,000
Perquisites	76,00,560	48,99,767
Contribution to Provident and Other Funds	13,60,264	10,34,300
Retirement Benefits	14,53,151	3,13,634
	4,48,70,273#	3,10,68,177

- b) To Other Directors

Meeting Fees	5,57,500	3,87,500
	4,54,27,773	3,14,55,677

(Rs. 1,08,19,277 is subject to approval of the Shareholders)

8 Remuneration to :

- A) Statutory Auditors:

a. Audit Fees	20,97,788	21,06,051
b. In other capacity for :		
i) Tax Audit	4,25,000	3,50,000
ii) Taxation Matters	3,20,000	2,27,500
iii) Company Law Matters	3,20,000	2,00,000
iv) Other Services - Certification etc.	5,31,608	5,61,279
c. Reimbursement of :		
Service Tax	3,71,279	3,76,856
Expenses	49,300	47,080

- B) Cost Auditors:

Audit Fees	50,000	50,000
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9 a) Aggregate Value of Investments

Quoted Investments (Net of Provision)	19,15,235	2,07,33,659
Unquoted Investments	3,75,10,303	1,82,63,000
	3,94,25,538	3,89,96,659
Market Value of Quoted Investments	19,15,235	91,77,631

- b) During the year the Company has made provision of Rs. 1,68,34,824 for the diminution in the value of quoted long term investment.

- c) Details of current Investments in units of Mutual funds purchased and sold during the year :

Names	Current Year		Previous Year	
	No. of Units (Face value of Rs.10 each)	Purchase Cost Rupees	No. of Units (Face value of Rs.10 each)	Purchase Cost Rupees
Prudential ICICI Liquid Plan	NIL	NIL	25,02,133	2,50,00,000
LIC MF Liquid Fund	95,21,309	10,25,00,000	NIL	NIL
Birla Sun Life Savings Fund- Retail-Daily Dividend	14,20,999	1,46,49,752	NIL	NIL

10 Deferred Tax Liability/Asset at the year end comprise timing differences on account of :

 a) Deferred Tax Liability on account of :
 Depreciation

b) Deferred Tax Assets on account of:

(i) Provision for Doubtful Debts(withdrawal)

(ii) Expenses allowable for tax purpose when paid(Net)

Net Deferred Tax Liability

**Current Year
Rupees**
**Previous Year
Rupees**
55,94,95,253

45,34,25,867

(40,088)

(21,531)

1,38,63,449

1,13,65,651

1,38,23,361

1,13,44,120

54,56,71,892

44,20,81,747

11 SEGMENT INFORMATION

A Primary Business Segments:-

Rupees

Particulars	Paper/Paper Board	Tyres	Textile Processing	Total
Segment Revenue				
Total Sales and Related Income	123,06,43,710 (124,36,10,745)	1261,31,43,337 (1003,81,19,801)	32,70,47,351 (31,25,11,603)	1417,08,34,398 (1159,42,42,149)
Less: Inter Segment Sales	NIL (NIL)	2,12,428 (7,36,779)	NIL (NIL)	2,12,428 (7,36,779)
External Sales and Related Income	123,06,43,710 (124,36,10,745)	1261,29,30,909 (1003,73,83,022)	32,70,47,351 (31,25,11,603)	1417,06,21,970 (1159,35,05,370)
Less: Excise Duty Recovered on Sales	8,21,82,157 (13,22,76,581)	8,97,92,268 (12,43,58,499)	NIL (NIL)	17,19,74,425 (25,66,35,080)
Net Sales and Related Income	114,84,61,553 (111,13,34,164)	1252,31,38,641 (991,30,24,523)	32,70,47,351 (31,25,11,603)	1399,86,47,545 (1133,68,70,290)
Segment Result before Interest and Tax	6,79,55,483 (7,08,29,576)	145,84,82,758 (197,92,16,665)	1,19,59,707 (2,69,48,240)	153,83,97,948 (207,69,94,481)
Less: Unallocated Corporate Expenses (net)				47,23,628 (17,56,237)
Changes in Accounting Policies				3,68,401 (6,63,83,310)
				153,33,05,919 (200,88,54,934)
Add: Unallocable Corporate Income				1,23,823 (7,83,130)
Operating Profit before Interest and tax				153,34,29,742 (200,96,38,064)
Less: Interest and Finance Charges				38,35,27,746 (27,62,76,036)
Profit Before Tax				114,99,01,996 (173,33,62,028)
Less: Provision for Taxation				40,93,52,972 (60,34,28,658)
Profit After Tax				74,05,49,024 (112,99,33,370)
Add: Minority Interest Loss				3,799 (11,863)
Add/(Less): Adjustments relating to earlier years				
Short Provision for Income/(Expenses) (Net)				59,77,112 (-16,90,612)
Profit before Extra ordinary Item				74,65,29,935 (112,82,54,621)

Rupees

Particulars	Paper/Paper Board	Tyres	Textile Processing	Total
Less : Extra ordinary Item				25,15,075 (1,09,42,828)
Profit after Extra ordinary Item				74,40,14,860 (111,73,11,793)
Segment Assets	39,78,26,980 (38,86,13,049)	1032,85,76,731 (1073,36,81,491)	21,62,56,300 (22,94,28,852)	1094,26,60,011 (1135,17,23,392)
Unallocated Assets				204,59,46,806 (167,19,93,837)
Total Assets				1298,86,06,817 (1302,37,17,229)
Segment Liabilities	8,83,61,406 (9,88,53,034)	75,73,44,843 (112,62,93,117)	3,17,86,092 (5,56,13,783)	87,74,92,341 (128,07,59,934)
Unallocated Liabilities				199,06,49,422 (171,51,16,492)
Total Liabilities				286,81,41,763 (299,58,76,426)
Total Cost incurred during the year to acquire Segment Fixed Assets	4,55,85,545 (16,09,90,380)	114,79,07,310 (171,34,89,892)	3,28,76,779 (16,25,81,726)	122,63,69,634 (203,70,61,998)
Segment Depreciation and Amortisation	73,88,647 (67,04,777)	56,54,10,212 (43,84,95,373)	1,34,53,698 (1,04,18,995)	58,62,52,557 (45,56,19,145)
Non- Cash Expenses other than depreciation and amortisation	-542,326 (-18,90,357)	10,60,360 (91,33,879)	-2,76,973 (-28,29,573)	2,41,061 (44,13,949)
Unallocable non cash Net {-Income} / Expenditure				20,24,580 (-12,88,137)

B. Secondary Segment - Geographical by location of customers

Segment Revenue

Sales and Related Income :

In India

274,87,94,871

(279,01,75,771)

Outside India

- Europe

684,61,73,515

(616,53,40,698)

- Others

457,56,53,584

(263,79,88,901)

1142,18,27,099

(880,33,29,599)

Total

1417,06,21,970

(1159,35,05,370)

Segment Assets

In India

1081,44,47,562

(1187,34,51,231)

Outside India

217,41,59,255

(115,02,65,998)

Total

1298,86,06,817

(1302,37,17,229)

Total Cost incurred during the year to acquire

Segment Fixed Assets

In India

122,58,50,249

(203,68,71,315)

Outside India

5,19,385

(1,90,683)

Total

122,63,69,634

(203,70,61,998)

Notes

- i) The Management has identified Business Segment as the Primary Segment. Segments have been identified taking into account the nature of the products, differing risks and returns, organisational structure and internal reporting system.
- ii) Composition of the Business Segment :-
 Name of the Segment: Comprises of:
 a. Paper / Paper Boards Coated & Uncoated Paper Boards
 b. Tyres Tyres / Tubes / Flaps
 c. Textile Processing Processing of Synthetic Textile Fabric
- iii) Inter-Segment transfers are done at realisable value / sales prices.
- iv) Segment Revenue, Segment Results, Segments Assets and Segment Liabilities include the respective amounts identifiable to each of the Segments as also amounts allocated on a reasonable basis. The expenses, which are not directly related to the business segments, are shown as unallocated corporate cost. Assets and Liabilities that can not be allocated amongst the segments are shown as unallocated assets and liabilities respectively.

- v) Unallocated assets exclude :
 Investments
- vi) Unallocated liabilities exclude :
 Secured Loans
 Unsecured Loans
 Deferred Tax Liabilities (Net)

Current Year	Previous Year
Rupees	Rupees
3,94,25,538	3,89,96,659
341,11,50,556	361,61,74,714
142,17,21,880	183,55,42,930
54,56,71,892	44,20,81,747
537,85,44,328	589,37,99,391

12 Earning Per Share (EPS)

(In accordance with Accounting Standard - 20)

i) a) Profit Computation for Basic Earning Per Share		
Profit for the year after Tax	74,05,49,024	112,99,33,370
Short Provision for Income/(Expenses) - Net	59,77,112	(16,90,612)
Add: Minority Interest Loss	3,799	11,863
Profit before Extra Ordinary Item	74,65,29,935	112,82,54,621
Less: Extra Ordinary Item	25,15,075	1,09,42,828
Profit after Extra Ordinary Item	74,40,14,860	111,73,11,793
b) Adjustment for the purpose of Diluted EPS		
Interest on 'Series B' Foreign Currency Convertible Bonds	5,32,83,753	3,90,52,429
Less : Tax on above	1,81,11,147	1,32,73,921
Adjustment for the purpose of Diluted EPS	3,51,72,606	2,57,78,508
c) Profit for Diluted earning per share (Before Extra ordinary Item)	78,17,02,541	115,40,33,129
d) Profit for Diluted earning per share (After Extra ordinary Item)	77,91,87,466	114,30,90,301
ii) Weighted Average number of equity shares for Earning Per Share Computation		
a) For Basic Earning Per Share		
Number of Equity Shares at the beginning of the year	1,93,31,719	1,93,31,719
b) For Diluted Earning Per Share		
Number of Shares for Basic EPS	1,93,31,719	1,93,31,719
Add : Weighted Average number of Shares deemed to be issued on future conversion of 'Series B' Foreign Currency Convertible Bonds	7,30,560	7,30,560
Number of Shares for Diluted Earning Per Share	2,00,62,279	2,00,62,279
iii) Nominal Value of Equity Shares (in Rupees)	10	10
Earning Per Share (Weighted Average) (Before Extra ordinary Item)		
Basic	38.62	58.36
Diluted	38.96	57.52
iv) Earning Per Share (Weighted Average) (After Extra ordinary Item)		
Basic	38.49	57.80
Diluted	38.84	56.98

13 Related Party Disclosures *

(Where transactions have taken place)

a) Key Management Personnel (KMP)

Mr. Arvind M. Poddar - Managing Director, Mr. Rajiv A. Poddar - Executive Director (w.e.f. 22/01/2009), Mr. Anurag P. Poddar-Executive Director (w.e.f.22/01/2009), Mr. B.K.Bansal - Director Finance (w.e.f. 26/07/2008), Mr. Trilok Chand Goel - Sr. President cum Director (upto 25/07/2008), Mr. Kishanlal R. Jangir -Whole time Director (w.e.f. 01/11/2007),Mr. Rajendra Jhanwar - Whole time Director (w.e.f. 01/11/2007), Mr. Avnish P. Poddar-Whole time Director (w.e.f. 28/01/2009)

b) Relatives of Key Management Personnel :

Mr. Rajiv A. Poddar (upto 21/01/2009).

c) Other Related Parties -(Enterprises-KMP having significant influence/owned by major shareholders) Siyaram Silk Mills Ltd., Govind Rubber Ltd., S. P. Finance & Trading Ltd., Poddar Brothers and Investment Pvt. Ltd.,S.P.Investrade India Ltd.,SPG Realty Pvt. Ltd., SPG Infrastructure Ltd., GRL International Ltd., Balgopal Holdings and Traders Ltd.,Vishal Furnishing Ltd.

Related Party Transactions

Rupees

Transactions	KMP	Relatives of (KMP)	Other Related Parties	Total
Purchase of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	57,91,101 (81,20,226)	57,91,101 (81,20,226)
Sales of Goods/Materials/Services	NIL (NIL)	NIL (NIL)	34,05,67,406 (34,53,36,410)	34,05,67,406 (34,53,36,410)
Expenses Reimbursed	NIL (NIL)	NIL (NIL)	NIL (15,33,600)	NIL (15,33,600)
Rent Received	NIL (NIL)	NIL (NIL)	13,43,464 (NIL)	13,43,464 (NIL)
Recovery of Expenses	NIL (NIL)	NIL (NIL)	12,15,494 (5,97,025)	12,15,494 (5,97,025)
Loan given	NIL (NIL)	NIL (NIL)	13,80,00,000 (NIL)	13,80,00,000 (NIL)
Loan refund received	NIL (NIL)	NIL (NIL)	13,80,00,000 (NIL)	13,80,00,000 (NIL)
Rent/Lease Rent Paid	NIL (NIL)	NIL (NIL)	3,88,500 (1,74,180)	3,88,500 (1,74,180)
Purchase of Fixed Assets	NIL (NIL)	NIL (NIL)	NIL (14,00,800)	NIL (14,00,800)
Advance Against Acquisition of Fixed Assets	NIL (NIL)	NIL (NIL)	1,80,00,000 (NIL)	1,80,00,000 (NIL)
Loan received	NIL (NIL)	NIL (NIL)	5,50,00,000 (32,00,00,000)	5,50,00,000 (32,00,00,000)
Loan Paid	NIL (NIL)	NIL (NIL)	7,00,00,000 (30,50,00,000)	7,00,00,000 (30,50,00,000)
Interest paid on Loan received	NIL (NIL)	NIL (NIL)	42,53,152 (21,34,553)	42,53,152 (21,34,553)
Interest Received on Loan given	NIL (NIL)	NIL (NIL)	19,04,376 (NIL)	19,04,376 (NIL)
Irrecoverable amount written off	NIL (NIL)	NIL (NIL)	10,08,914 (NIL)	10,08,914 (NIL)
Provision for Diminution in value of Investment	NIL (NIL)	NIL (NIL)	1,68,34,824 (NIL)	1,68,34,824 (NIL)
Remuneration	2,61,76,555 (1,60,16,951)	3,75,803 (4,65,996)	NIL (NIL)	2,65,52,358 (1,64,82,947)
Receivables	NIL (NIL)	NIL (NIL)	2,66,15,619 (6,55,18,206)	2,66,15,619 (6,55,18,206)
Payables	80,76,183 (48,30,000)	NIL (NIL)	2,23,901 (1,50,95,736)	83,00,084 (1,99,25,736)
SAP user charges	NIL (NIL)	NIL (NIL)	24,01,191 (NIL)	24,01,191 (NIL)

14 Leases - Operating leases :

- i) The Company and its subsidiaries have taken commercial premises under non- cancellable operating leases.
- ii) Future minimum Lease Payments under non - cancellable operating leases :

	Current Year Rupees	Previous Year Rupees
not later than one year	49,04,160	1,16,65,860
later than one year and not later than five years	40,76,800	1,43,89,897
later than five years	NIL	NIL
iii) The rental expenses recognised in Profit and Loss account for operating leases :		
(a) Minimum Rent	3,05,58,290	1,95,06,709
(b) Contingent Rent	NIL	NIL
iv) The Company has given certain portion of its office premises on lease and the agreement for the same is for a period of six months with no further renewal. The said agreement can be terminated by giving one month prior written notice by the lessee or the Company.		
Gross carrying amount of the office premises leased, included in Schedule 'E' Fixed Assets	7,64,751	NIL
Accumulated Depreciation	2,47,028	NIL
Depreciation recognised in the Profit and Loss Account	12,466	NIL
15 a) Total of Research and Development Cost/Expenditure (Revenue).	71,70,561	36,23,568
b) Contribution to Provident and Other Funds (Schedule 'P') includes contribution for the year to Gratuity Funds covered under the master policies of Life Insurance Corporation of India.	57,98,824	15,87,875
c) Amount of Borrowing Cost capitalised	94,35,201	39,76,760
16 The net amount of (Loss)/Gain of exchange differences included in the Profit and Loss Account {Including unrealised foreign exchange differences (Net)}	(128,14,50,768)	46,41,81,053

17 Foreign Currency Convertible Bonds (FCCB)

- a) The Company raised FCCB during the year 2005-06 aggregating to USD 40 million which included:
 - (i) Zero coupon 'Series A' bonds aggregating to USD 18 million, convertible at a price of Rs. 1,080 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD and,
 - (ii) 4.5% FCCB 'Series B' aggregating to USD 22 million with redemption premium of 1.5% p.a. payable on cumulative basis at the time of redemption i.e. on 31st December 2010, convertible at the option of bondholders at a price of Rs. 1,375 per share by applying a pre-determined exchange rate of Rs. 45.66 per USD. If all these bonds are converted into shares, then the Share Capital of the Company will increase by 7,30,560 Equity Shares of Rs 10 each.
- (b) The 'Series A' bonds, during the year 2005-06 were subsequently converted into equity shares upon exercising the conversion right by the Bondholders.
The Company allotted them 7,60,999 shares of Rs.10 each at a pre-determined premium of Rs. 1,070 each.

18 Derivative Instruments

- a) Hedging Contracts :
 - (i) The company uses forward exchange contracts to hedge its exposure to foreign exchanges and the Company does not use such contracts for trading or speculation purpose.
 - (ii) Derivative Instruments outstanding
Forward Exchange Contracts :

Particulars	Current Year Rupees	Previous Year Rupees
Total No. of contracts outstanding for Amount Receivable on account of Export of Goods.	184	41
Foreign Currency Value covered		
US Dollars	1,45,22,042	1,24,02,043
Euro	1,24,73,350	1,05,95,073
b) Unhedged foreign currency exposure is as follows:		
Amounts Payable		
Loans US Dollars:		
Foreign Currency Convertible Bonds (FCCB)	2,20,00,000	2,20,00,000
Other Loans :		
US Dollars	3,01,73,204	3,15,27,980
Euro	1,79,22,213	1,46,41,392
Interest US Dollars	6,94,810	4,10,233
Payables for goods and services ;		
US Dollars	15,31,780	3,81,706
Euro	68,474	2,30,681
GBP	18,906	47,463
Amounts Receivable:		
Export of Goods US Dollar	37,779	NIL
Advances :		
US Dollar	13,33,040	65,50,502
Euro	21,801	1,15,442
GBP	2,03,688	33,917
Balance with Scheduled Banks		
On Current Account:		
US Dollar	5,54,985	90,213
Euro	89,673	5,86,861

19 Disclosures in accordance with revised accounting standard AS-15 on “Employee Benefits”.

Defined benefit plans - As per actuarial valuations		Current year Rupees	Previous year Rupees
Sr. No.	Descriptions	Gratuity	Gratuity
i	Components of employer expenses		
	Current Service Cost	41,08,480	37,31,882
	Interest Cost	28,76,255	25,39,858
	Expected Return on Plan Assets	(19,68,196)	(19,87,049)
	Actuarial-Loss (Net)	45,04,307	17,43,812
	Total Expenses recognised in the statement of Profit & Loss Account in Schedule 'P'	95,20,846	60,28,503
ii	Actual Contribution and Benefit Payments for year end		
	Actual Benefit Payments	1,32,20,559	40,22,716
	Actual Contributions	57,98,824	15,87,875
iii	Net asset recognised in balance sheet at the year end		
	Present Value of Defined Benefit Obligation	4,59,18,333	3,59,53,181
	Fair value of plan assets	(3,08,45,581)	(2,46,02,450)
	Net Liability recognised in balance sheet	1,50,72,752	1,13,50,731
iv	Reconciliation of Opening and Closing Balances of Defined Benefit Obligations (DBO)		
	Present Value of DBO at the beginning of the year	3,59,53,181	3,17,48,221
	Current Service cost	41,08,480	37,31,882
	Interest cost	28,76,255	25,39,858
	Actuarial Loss	1,62,00,977	19,55,936
	Benefits paid	(1,32,20,559)	(40,22,716)
	Present Value of DBO at the end of the year	4,59,18,334	3,59,53,181

Defined benefit plans - As per actuarial valuations		Current year Rupees	Previous year Rupees
Sr. No.	Descriptions	Gratuity	Gratuity
v	Change in Fair Value of Assets during the year ended March 31,2009		
	Plan assets at the beginning of the year	2,46,02,450	2,48,38,118
	Actual return on plan assets	32,96,472	20,66,028
	Actual Company contributions	57,98,824	15,87,875
	Actuarial Gain on Plan Assets	1,03,68,394	1,33,145
	Benefits paid	(1,32,20,559)	(40,22,716)
	Plan assets at the end of the year	3,08,45,581	2,46,02,450
vi	Actuarial Assumptions		
	Discount Rate	8%	8%
	Expected Return on plan Assets	8%	8%
	Salary escalation	4.5%	4.5%

a) Defined Contribution Plans-

The contribution to 'defined contribution plans' aggregating to **Rs.2,37,20,177** (Previous Year Rs. 2,12,84,034) has been recognised in the statement of profit and loss account under the heading 'Contribution to Provident and Other Funds' (Schedule 'P') .

b) The assumption of future salary increases, considered in actual valuation, take account of inflation and other relevant factors.

20 a) As at 31st March,2009, there are no Micro, Small and Medium Enterprises, as defined in the Micro, Small, Medium Enterprises Development Act, 2006, to whom the Company owes dues on account of principal amount together with interest and accordingly no additional disclosures have been made.

b) The above information regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the auditors.

21 a) Figures in brackets in Notes 11 and 13 pertain to previous year.

b) The Previous year figures have been re-arranged and/or regrouped wherever necessary to make them comparable.

Signature to schedules 'A' to 'R'

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
 Partner

VIPUL R. SHAH
 Company Secretary

Mumbai,
 Dated: 16th May, 2009

For and on behalf of the Board of Directors

D.P. PODDAR Chairman

A.M. PODDAR Vice Chairman & Managing Director

R.D. PODDAR Director

B.K. BANSAL Director (Finance)

Mumbai,
 Dated: 16th May, 2009

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH, 2009

	Year Ended 31st March, 2009 Rupees	Year Ended 31st March, 2008 Rupees
A. CASH FLOW FROM OPERATING ACTIVITIES :		
Net profit before tax	114,99,01,996	173,33,62,028
Less : Exceptional Item(Outstanding)	(84,37,445)	NIL
Add/(Less): Excess/(Short) Provision for Expenses/ Income (Net)	59,77,112	(16,90,612)
Less: Extra Ordinary Item	(25,15,075)	(1,09,42,828)
Net profit before adjustments :	114,49,26,588	172,07,28,588
Adjustment for :		
Depreciation and Amortisation	58,62,52,557	45,56,19,145
Income from Investments	(1,23,823)	(7,83,132)
Interest and Finance Charges	38,35,27,746	27,62,76,036
Interest Income	(1,54,67,056)	(93,58,737)
Loss on Sale of Fixed Assets (Net)	2,68,547	57,22,587
Fixed Assets Discarded/Written Off	5,57,473	1,86,609
Unrealised Foreign Exchange differences (Loss)/Gain	38,69,99,436	(11,05,37,373)
Retiring Gratuities	95,20,846	53,64,527
Leave Encashment	98,34,942	89,38,732
Diminution in value of Current Investment	1,68,34,824	NIL
Withdrawal for doubtful Debts no longer required	(54,595)	(1,87,660)
	137,81,50,897	63,12,40,734
Operating profit before working capital changes	252,30,77,485	235,19,69,322
Adjustment for:		
Trade and other receivables	16,21,16,328	(84,21,52,287)
Inventories	67,29,66,977	(78,17,22,264)
Trade payables	(13,66,95,990)	31,86,64,207
	69,83,87,315	(130,52,10,344)
Cash generated from operations	322,14,64,800	104,67,58,978
Direct taxes paid	(33,70,84,368)	(59,32,64,832)
Gratuity paid	(57,98,824)	(9,97,052)
Leave Encashment paid	(62,08,335)	(34,17,119)
Net cash from Operating Activities	287,23,73,273	44,90,79,975
B. CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Fixed Assets & Capital Work in Progress	(132,80,56,772)	(169,36,30,989)
Sale of Fixed Assets	54,26,321	64,56,093
Purchase of Investments	(13,64,00,055)	(4,30,19,600)
Sale of Investments	11,91,36,352	2,48,84,812
Interest received	1,47,75,092	82,54,846
Income Received on Investments	1,96,721	1,55,221
Net cash used in Investing Activities	(132,49,22,341)	(169,68,99,617)
C. CASH FLOW FROM FINANCING ACTIVITIES :		
Proceeds from issue of Equity Shares	NIL	1,00,000
Proceeds from Short Term Borrowings (Net)	(342,45,82,619)	106,60,03,272
Proceeds from Long Term Borrowings	426,49,99,281	124,82,13,485
Repayment of Long Term Borrowings	(174,13,72,347)	(75,71,76,164)
Dividend paid (including tax thereon)	(23,59,71,271)	32,93,700*
Interest paid	(39,69,00,985)	(25,67,52,778)
Net Cash from Financing Activities	(153,38,27,941)	130,36,81,515
Net (decrease)/ increase in cash and cash equivalent	1,36,22,991	5,58,61,873
Exchange difference on cash and cash equivalent - Loss/(Gain)	3,82,948	(60,86,425)
Cash and cash equivalent as at the beginning of the year	10,29,76,171	5,32,00,723
Cash and cash equivalent as at the end of the year	11,69,82,110	10,29,76,171

* Adjustments on account of Dividend Accounts.

Note :

Direct Taxes paid on income are treated as arising from Operating Activities and are not bifurcated between Investing and Financing Activities.

As per our report of even date attached

For JAYANTILAL THAKKAR & CO.
Chartered Accountants

ASHOK J. THAKKAR
Partner

VIPUL R. SHAH
Company Secretary

Mumbai,
Dated: 16th May, 2009

For and on behalf of the Board of Directors

D.P. PODDAR Chairman
A.M. PODDAR Vice Chairman & Managing Director
R.D. PODDAR Director
B.K. BANSAL Director (Finance)

Mumbai,
Dated: 16th May, 2009

Notes

Notes